of ₹ 2,50,000.

(b) On 30th April, 20X1, a 100% subsidiary of B Ltd. declared a dividend of ₹ 3,00,000 in respect of its own shares for the year ended on 31st March, 20X1.

(c) On 31st May, 20X1, the mail order activities of C Ltd. (a retail trading group) were shut down with closure costs amounting to ₹ 2.5 million.

(d) On 1st July, 20X1 the discovery of sand under D Ltd.'s major civil engineering contract site causes the cost of the contract to increase by 25% for which there would be no corresponding recovery from the customer.

(e) A fire, on 2nd April, 20X1, completely destroyed a manufacturing plant of E Ltd. It was expected that the loss of ₹ 10 million would be fully covered by the insurance company.

You are required to state with reasons, how each of the above items numbered (a) to (e) should be dealt with in the financial statement of the various companies for the year ended 31st March, 20X1.

Answer

Treatment as per **AS 4** 'Contingencies and Events Occurring After the Balance Sheet Date'

(a)	A Ltd.	The sale of property should be treated as an **adjusting event** since contracts had been exchanged prior to the year-end. The effect of the sale would be **reflected in the financial statements** ended on 31.3.20X1 and the profit on sale of property ₹ 1,50,000 would be treated as an extraordinary item.
(b)	B Ltd.	The declaration of dividend on 30th April, 20X1 of ₹ 3,00,000 would be treated as a **non-adjusting** event in the financial statements of year ended 31st March, 20X1. This is because, the dividend has been declared after the balance sheet date and no conditions existed on the balance sheet date for such declaration of dividend. Further as per AS 9, **right to receive dividend is established when it is declared and not before that**.
(c)	C Ltd.	A closure not anticipated at the year-end would be treated as a **non-adjusting event**. Memorandum disclosure would be required for closure of mail order activities since non disclosure would affect user's understanding of the financial statements.
(d)	D Ltd.	The **event took place after the financial statements were approved** by the approving authority and is thus **outside the purview of AS 4**. However, in view of its significance of the transaction, the directors may consider publishing a separate financial statement/additional statement for the attention of the members in general meeting.
(e)	E Ltd.	The event is a **non-adjusting** event since it occurred after the year-end and does not relate to the conditions existing at the year-end. However, it is necessary to consider the validity of the going concern assumption having regard to the extent of insurance cover. Also, since it is said that the loss would be fully recovered by the insurance company, the fact should be **disclosed by way of a note** to the financial statements.

Question 15

State with reasons, how the following events would be dealt with in the financial statements of Hari Ltd. for the year ended 31st March, 20X2 (accounts were approved on 25th July, 20X2):

(i) Negotiations with another company for acquisition of its business was started on 21st January, 20X2. Hari Ltd. invested ₹ 40 lakh on 22nd April, 20X2.

(ii) The company made a provision for bad debts @ 4% of its total debtors (as per trend followed from the previous years). In the second week of March 20X2, a debtor for ₹ 2,50,000 had suffered heavy loss due to an earthquake; the loss was not covered by any insurance policy. In May, 20X2 the debtor became bankrupt.

(iii) During the year 20X1-X2, Hari Ltd. was sued by a competitor for ₹ 13 lakhs for infringement of a trademark. Based on the advice of the company's legal counsel, Hari Ltd. provided for a sum of ₹ 8 lakhs in its financial statements for the year ended 31st March, 20X2. On 26th May, 20X2, the Court decided in favour of the party alleging infringement of the trademark and ordered Hari Ltd. to pay the aggrieved party a sum of ₹ 12 lakhs.

(iv) Cashier of Hari Ltd. embezzled cash amounting to ₹ 3,00,000 during March, 20X2. However, the same comes to the notice of Company management during August, 20X2.

(v) Cheques dated 31st March, 20X2 collected in the month of April, 20X2. All cheques are presented to the bank in the month of April, 20X2 and are also realized in the same month in the normal course after deposit in the bank.

Answer

(i) As per **AS 4**'Contingencies and Events Occurring After the Balance Sheet Date', disclosure should be made in the report of the approving authority of those events occurring after the balance sheet date that represent material changes and commitments affecting the financial position of the enterprise, the investment of ₹ 40 lakhs in April, 20X2 in the acquisition of another company should be **disclosed in the report** of the Board of Directors to enable users of financial statements to make proper evaluations and decisions.

(ii) As per **AS 4**, adjustment to assets and liabilities are required for events occurring after the balance sheet date that provide additional information materially affecting the determination of the amounts relating to conditions existing at the Balance Sheet date. A debtor for ₹ 2,50,000 suffered heavy loss due to earthquake in the second week of March, 20X2 which was not covered by insurance. This information with its implications was **already known to the company**. The fact that he became bankrupt in May, 20X2 (after the balance sheet date) is only an additional information related to the existing condition on the balance sheet date. Accordingly, **full provision** for bad debts amounting **₹ 2,50,000 should be made**, to cover the loss arising due to the insolvency of a debtor, in the final accounts for the year ended 31st March 20X2.

(iii) As per AS 4, adjustments to assets and liabilities are required for events occurring after the balance sheet date that provide additional information materially affecting the determination of the amounts relating to conditions existing at the balance sheet date. In the given case, since Hari Ltd. was sued by a competitor for infringement of a trademark during the year 20X1-X2 for which the provision was also made by it, the decision of the Court on 26th May, 20X2, for payment of the penalty will constitute as an **adjusting event** because it is an event occurred before approval of the financial statements. Therefore, Hari Ltd. **should adjust** the **provision upward by ₹ 4 lakhs** to reflect the award decreed by the Court to be paid by them to its competitor.

(iv) As the embezzlement of cash comes to notice of company management only after approval of financial statements by board of directors of the company, then the treatment will be done as per the provisions of **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" and the same will **not be adjusted** in the financial statements for the year ended 31st March, 20X2. This being an **extra-ordinary** item should be **disclosed in the statement of profit and loss as a part of loss for the year ending March, 20X3**, in a manner, that its impact on current profit or loss can be perceived.

(v) Collection of cheques after balance sheet date is **not an adjusting event** even if cheques bear the date of 31st March. Recognition of cheques in hand is therefore not consistent with requirements of AS 4. Moreover, the collection of cheques after balance sheet date does not represent any material change or commitments affecting financial position of the enterprise **and no disclosure of such collections in the Directors' Report is necessary**.

Miscellaneous

Question 16

Y Ltd. has book debts and has a doubt over recoverability of some of the book debts. The amount that cannot be recovered is not quantifiable. Thus, Y Ltd. is of the opinion that provision for doubtful debts should not be created. Y Ltd. creates provision for certain other expenses on estimated basis.

Whether contention of Y Ltd. is correct?

Answer

As per **AS 4,** "Contingencies and Events Occurring After the Balance Sheet Date" if it is likely that a contingency will result in a loss to an entity then it should **create provision for that contingency on the estimated basis**.

Based on the above, the **contention that provision for doubtful debt is not be created** merely because the amount is not quantifiable is **not correct**. Hence, Y Ltd. **should make provision** in the books on the basis of **estimation**.

CHAPTER - 7
AS 5: Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies

Ordinary Items

Question 1

A company (Z Ltd.) is engaged in the business of providing consultancy services. A few days back, it received a notice from GST department raising a demand of GST on consultancy services provided by it for ₹ 500,000. Recently Z Ltd. paid the demand. In the books, the payment is recorded as an extraordinary expenditure.

Whether payment of tax demand raised by the taxation authority can be recognised as an extraordinary item?

Answer

No, payment of tax **cannot be recognised as an extraordinary item**.

As per **AS 5**, "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" an **extraordinary item** is **income or expenses** that arise from events or transactions that are **clearly distinct from ordinary activities** of the enterprise and, therefore, are not expected to recur frequently or regularly.

In the given case, **providing consultancy service** is **an ordinary activity** of Z Ltd. Thus, GST paid pursuant to the demand raised by GST department is also a part of an ordinary activity of Z Ltd. **Recognising** such payments as an **extra-ordinary item is contrary to AS 5**.

Question 2

(i) During the year 20X1-20X2, a medium size manufacturing company wrote down its inventories to net realisable value by ₹ 5,00,000. Is a separate disclosure necessary?

(ii) A company signed an agreement with the Employees Union on 1.9.20X3 for revision of wages with retrospective effect from 30.9.20X1. This would cost the company an additional liability of ₹ 5,00,000 per annum. Is a disclosure necessary for the amount paid in 20X3-X4?

Answer

(i) Although the case under consideration does **not relate to extraordinary item**, but the nature and amount of such item may be relevant to users of financial statements in understanding the financial position and performance of an enterprise and in making projections about financial position and performance. AS 5 on 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies' states that:

"When items of income and expense within profit or loss from **ordinary activities are of such size, nature or incidence that their disclosure is relevant to explain** the performance of the enterprise for the period, the nature and amount of such items **should be disclosed separately**."

Circumstances which may require **separate disclosure** of items of income and expense in accordance with **AS 5** include the write-down of inventories to net realisable value as well as the reversal of such write-downs.

(ii) It is given that revision of wages took place on 1st September, 20X3 with retrospective effect from 30.9.20X1. Therefore, wages payable for the 1½ years from 1.10.20X1 to 31.3.20X3 **cannot be taken as**

an error or omission in the preparation of financial statements and hence this expenditure cannot be taken as a prior period item. Additional wages liability of ₹ 7,50,000 (for 1½ years @ ₹ 5,00,000 per annum) should be included in current year's wages.

It may be mentioned that **additional wages** is an expense arising from the **ordinary activities** of the company. Such an expense does **not qualify as an extraordinary item**. However, as per **AS 5**, when items of **income and expense within profit or loss from ordinary activities are of such size, nature or incidence** that their **disclosure is relevant to explain** the performance of the enterprise for the period, the nature and amount of such items should be **disclosed separately**.

Question 3

TQ Cycles Ltd. is in the manufacturing of bicycles, a labour intensive manufacturing sector. In April 20X2, the Government enhanced the minimum wages payable to workers with retrospective effect from the 1st January, 20X2. Due to this legislative change, the additional wages for the period from January 20X2 to March 20X2 amounted to ₹ 30 lakhs. The management asked the Finance manager to charge ₹ 30 lakhs as prior period item while finalizing financial statements for the year 20X2-X3. Further, the Finance manager is of the view that this amount being abnormal should be disclosed as extra-ordinary item in the Profit and loss account for the financial year 20X1-X2.

Discuss with reference to applicable Accounting Standards.

Answer

As per **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" prior period items are income or expenses which arise in the current period as a result of errors or omissions in the preparation of financial statements of one or more prior periods. The term does not include other adjustments necessitated by circumstances which though related to prior periods, are determined in the current period.

It is given that revision of wages took place in April, 20X2 with retrospective effect from 1st January, 20X2. Therefore, wages payable for the period from 1.01.20X2 to 31.3.20X2 **cannot be taken as an error or omission** in the preparation of financial statements and hence this expenditure cannot be taken as a prior period item. The full amount of wages payable to workers will be **treated as an expense of current year and it will be charged to profit & loss account for the year 20X2-X3 as normal expenses**.

It may be mentioned that additional wages is an expense arising from the **ordinary activities** of the company. Such an expense does **not qualify as an extraordinary item**. Therefore, **finance manager is incorrect** in treating increase as extraordinary item. However, as per AS 5, when items of **income and expense within profit or loss from ordinary activities** are of **such size, nature or incidence that their disclosure is relevant to explain** the performance of the enterprise for the period, the nature and amount of such items **should be disclosed separately**.

Therefore, additional wages liability of ₹ 30 lakhs should be **disclosed separately** in the financial statements of TQ Cycles Ltd. for the year ended 31st March, 20X3.

Extra Ordinary Items

Question 4

Bela Ltd. has a vacant land measuring 20,000 sq. mts, which it had no intention to use in the future. The

company decided to sell the land to tide over its liquidity problems and made a profit of ₹ 10 Lakhs by selling the said land. Moreover, there was a fire in the factory and a part of the unused factory shed valued at ₹ 8 Lakhs was destroyed. The loss from fire was set off against the profit from sale of land and profit of ₹ 2 lakhs was disclosed as net profit from sale of assets. Do you agree with the treatment and disclosure? If not, state your views.

Answer

As per **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" Extraordinary items should be disclosed in the statement of profit and loss as a part of net profit or loss for the period. The nature and the amount of each extraordinary item should be separately disclosed in the statement of profit and loss in a manner that its impact on current profit or loss can be perceived.

In the given case the selling of land to tide over liquidation problems as well as fire in the factory does **not constitute ordinary activities** of the Company. These items are distinct from the ordinary activities of the business. Both the events are material in nature and expected not to recur frequently or regularly. Thus, these are **Extraordinary Items**.

Therefore, in the given case, disclosing net profits by **setting off fire losses against profit from sale of land is not correct**. The profit on sale of land, and loss due to fire should be **disclosed separately** in the statement of profit and loss.

Prior Period Items

Question 5

The company finds that the inventory sheets of 31.3.20X1 did not include two pages containing details of inventory worth ₹ 14.5 lakhs. State, how you will deal with the following matters in the accounts of Omega Ltd. for the year ended 31st March, 20X2.

Answer

AS 5 on 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies', defines Prior Period items as "income or expenses which arise in the current period as a result of errors or omissions in the preparation of the financial statements of one or more prior periods".

Rectification of **error in inventory valuation is a prior period item** vide AS 5. **Separate disclosure** of this item as a **prior period item** is required as per AS 5.

Question 6

Fuel surcharge is billed by the State Electricity Board at provisional rates. Final bill for fuel surcharge of ₹ 5.30 lakhs for the period October, 20X1 to September, 20X7 has been received and paid in February, 20X8. However, the same was accounted in the year 20X8-X9. Comment on the accounting treatment done in the said case.

Answer

The final bill having been paid in February, 20X8 should have been accounted for in the annual accounts of the company for the year ended 31st March, 20X8. However, it **seems** that as a result of **error or omission** in the preparation of the financial statements of prior period i.e., for the year ended 31st March 20X8, this material

charge has arisen in the current period i.e., year ended 31st March, 20X9. Therefore, it should be **treated as 'Prior period item'** as per AS 5. As per **AS 5**, prior period items are normally included in the determination of net profit or loss for the current period. An alternative approach is to show such items in the statement of profit and loss after determination of current net profit or loss. In either case, the objective is to indicate the effect of such items on the current profit or loss.

It may be mentioned that it is an expense arising from the **ordinary course** of business. Although abnormal in amount or infrequent in occurrence, such an expense **does not qualify an extraordinary item** as per AS 5. For better understanding, the fact that power bill is accounted for at provisional rates billed by the state electricity board and final adjustment thereof is made as and when final bill is received may be mentioned as an accounting policy.

Question 7

There was a major theft of stores valued at ₹ 10 lakhs in the preceding year which was detected only during current financial year (20X2-20X3). How will you deal with this information in preparing the financial statements of R Ltd. for the year ended 31st March, 20X3.

Answer

Due to major theft of stores in the preceding year (20X1-20X2) which was detected only during the current financial year (20X2–20X3), there was overstatement of closing inventory of stores in the preceding year. This must have also resulted in the overstatement of profits of previous year, brought forward to the current year. The adjustments are required to be made in the current year as **'Prior Period Items'** as per **AS 5** (Revised) on Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies. Accordingly, the adjustments relating to both opening inventory of the current year and profit brought forward from the previous year should be **separately disclosed** in the statement of profit and loss together with their nature and amount in a manner that their impact on the current profit or loss can be perceived.

Question 8

Energy Ltd. has acquired a generator on 1.4.20X1 for ₹ 100 lakh. On 02.04.20X1, it applied to Indian Renewal Energy Development Authority (IREDA) for a subsidy. The subsidy was granted in June, 20X2 after the accounts for 20X1-20X2 were finalized. The company has not accounted for the subsidy for the year ended 31.3.20X2.

State

(i) Is this a prior period item?

(ii) How should the subsidy be accounted in the accounting year 20X2-20X3?

Answer

(i) Whether a subsidy applied is to be classified as prior period item as per AS 5, depends upon whether the company has committed an error in 20X1-20X2 by not recognising the subsidy?

The answer is in para 13 of **AS 12** "Accounting for Government Grants" which permits **recognition** of grant **only when** there is **reasonable assurance** that -

(i) the enterprise will **comply with the conditions** attached to them and

(ii) the subsidy **will be received**.

Mere making of an application does not provide the reasonable assurance that the subsidy will be received. Letter of sanction from IREDA is required to provide this assurance. Since, the subsidy was granted in June, 20X2 after approval of accounts, **non-recognition of grant in 20X1-20X2 will not be considered as an error.** Hence, this **is not a prior period item**. Therefore, the company was right in not recognizing the grant.

Further, AS 4 requires adjustment of events occurring after the balance sheet date only upto the date of approval of accounts by the Board of Directors. In view of this, the company is **correct in not adjusting the same in the accounts in the year 20X1-20X2**.

(ii) The subsidy should be **deducted from the cost** of the generator. The revised unamortised amount of generator should be written off over the remaining useful life.

Alternatively, the same may be **treated as 'deferred income'** and allocated over the remaining useful life in the proportion in which depreciation is charged.

Question 9

From the past 5 financial years, an old outstanding balance of ₹ 50,000 was still appearing as sundry creditor in the current year balance sheet of People Ltd. The company is certain that this amount is not payable due to one or more reasons. Therefore, it decided to write off the said amount in its current year's books of accounts and recognize it as income. The company treated the amount of ₹ 50,000 written off as a prior period item and made the adjustments accordingly.

The company is of the view that since sundry balances were recognized in the prior period(s), its related written-off amount should be treated as a prior period item.

Answer

No, the company is **not correct** in treating the amount written off as a prior period item. As per **AS 5**, prior period items are income or expenses which arise in a current year due to errors or omissions in the preparation of the financial statements of one or more prior period(s).

Writing off an old outstanding balance in the current year which is appearing in its books of accounts from the past 5 financial years does **not mean that there has been an error or omission** in the preparation of financial statements of prior period(s). It is just a practice adopted by the company to write off the old outstanding balances of more than 5 years in its current year books of accounts. Therefore, the amount written off is **not treated as a prior period item**.

Hence, **adjusting** the amount ₹ 50,000 written off **as a prior period item** on the basis that sundry balances were recognized in prior period(s) is **not in line with AS 5**.

Change in Accounting Estimates

Question 10

In the current year, A Ltd. changed the depreciation method from the Straight-Line Method (SLM) to Written Down Value (WDV) method. When A Ltd. recomputed depreciation retrospectively as per the new method, deficiency arose in depreciation in respect of past years. Therefore, it reduced the carrying amount of the asset by the amount of deficiency and such change in carrying amount (deficiency amount) has been debited to the

statement of profit and loss as an extraordinary expense.

Whether the change in the carrying amount of assets due to the change in depreciation method should be treated as an extraordinary item?

Answer

No.

As per **AS 5**, "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies" **extraordinary items** are **income or expenses** that arise from events or transactions that are **clearly distinct from the ordinary activities** of enterprise and, therefore, are not expected to recur frequently or regularly.

A **change in the method** of charging **depreciation** is **not** an event that is clearly **distinct from the ordinary activities** of the entity. In the instant case, A Ltd. has changed the depreciation method and treated the reduction in carrying amount (or amount of deficiency in depreciation) of the asset as an extraordinary expense. This is **not correct**. Such deficiency should be treated as a normal expense.

A change in the estimated useful life of a depreciable asset (i.e. change in depreciation method) affects the depreciation in the current period and in each period during the remaining useful life of the asset. In both cases, the effect of the change relating to the current period is recognised as income or expense in the current period. The effect, if any, on future periods, is recognised in future periods.

The change in depreciation method is considered as a **change in accounting estimate** as per the provisions of AS 5.

Question 11

A company created a provision of ₹ 7,50,000 for staff welfare while preparing the financial statements for the year 20X1-X2. On 31st March 20X2, in a meeting with staff welfare association, it was decided to increase the amount of provision for staff welfare to ₹ 10,00,000. The accounts were approved by Board of Directors on 15th April, 20X2.

You are required to explain the treatment of such revision in financial statements for the year ended 31st March 20X2 in line with the provisions of AS 5?

Answer

As per **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies", the change in amount of staff welfare provision amounting ₹ 2,50,000 is **neither a prior period item nor an extraordinary item**. **It is a change in estimate**, which has been occurred in the year 20X1-X2.

As per the provisions of the standard, normally, all items of income and expense which are recognized in a period are included in the determination of the net profit or loss for the period. This includes extraordinary items and the effects of changes in accounting estimates. However, the effect of such change in accounting estimate should be classified using the **same classification** in the statement of profit and loss, as was used previously, for the estimate.

Question 12

S.T.B. Ltd. makes provision for expenses amounting ₹ 7,00,000 as on March 31, 20X1, but the actual expenses during the year ending March 31, 20X2 comes to ₹ 9,00,000 against provision made during the last year. State

with reasons whether difference of ₹ 2,00,000 is to be treated as prior period item as per AS 5 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies'.

Answer

As per **AS 5** 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies', as a result of the uncertainties inherent in business activities, many financial statement items cannot be measured with precision but can only be estimated. The estimation process involves judgments based on the latest information available. The use of reasonable estimates is an essential part of the preparation of financial statements and does not undermine their reliability. Estimates may have to be revised, if changes occur regarding the circumstances on which the estimate was based, or as a result of new information, more experience or subsequent developments.

As per the standard, the effect of a **change in an accounting estimate** should be classified using the **same classification** in the statement of profit and loss as was used previously for the estimate. Prior period items are income or expenses which arise in the current period as a result of errors or omissions in the preparation of the financial statements of one or more prior periods. Thus, revision of an estimate by its nature i.e. the difference of ₹ 2 lakhs, is not a prior period item. Therefore, in the given case expenses amounting ₹ 2,00,000 (i.e. ₹ 9,00,000 – ₹ 7,00,000) recorded in the current year, **should not be regarded as prior period item**.

Mixed Topics

Question 13

PQR Ltd. is in the process of finalizing its accounts for the year ended 31st March, 20X4. The company seeks your advice on the following:

(i) Goods worth ₹ 5,00,000 were destroyed due to flood in September, 20X1. A claim was lodged with insurance company. But no entry was passed in the books for insurance claim in the financial year 20X1-X2. In March, 20X4, the claim was passed and the company received a payment of ₹ 3,50,000 against the claim. Explain the treatment of such receipt in final account for the year ended 31st March, 20X4.

(ii) Company created a provision for bad and doubtful debts at 2.5% on debtors in preparing the financial statements for the year 20X3-X4.

Subsequently, on a review of the credit period allowed and financial capacity of the customers, the company decides to increase the provision to 8% on debtors as on 31.03.20X4. The accounts were not approved by the Board of Directors till the date of decision. While applying the relevant accounting standard, can this revision be considered as an extraordinary item or prior period item?

Answer

(i) As per the provisions of **AS 5** "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies", **prior period items are income or expenses**, which arise, in the current period as a result of **error or omissions** in the preparation of financial statements of **one or more prior periods**. Further, the nature and amount of prior period items should be separately disclosed in the statement of profit and loss in a manner that their impact on current profit or loss can be perceived.

In the given instance, it is **clearly a case of error/omission** in preparation of financial statements for the year 20X1-X2. Hence, claim received in the financial year 20X3- X4 is a **prior period item** and should be **separately disclosed** in the statement of Profit and Loss.

(ii) In the given case, a limited company created 2.5% provision for doubtful debts for the year 20X3-20X4. Subsequently, the company revised the estimates based on the changed circumstances and wants to create 8% provision.

As per AS 5, the revision in rate of provision for doubtful debts will be **considered as change in estimate** and is **neither a prior period item nor an extraordinary item**.

The effect of such change **should be shown in the profit and loss account** for the year ending 31st March, 20X4.

Question 14

Explain whether the following will constitute a change in accounting policy or not as per AS 5.

(i) Introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement.

(ii) Management decided to pay pension to those employees who have retired after completing 5 years of service in the organisation. Such employees will get pension of ₹ 20,000 per month. Earlier there was no such scheme of pension in the organisation.

Answer

As per **AS 5** 'Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies', the adoption of an accounting policy for events or transactions that differ in substance from previously occurring events or transactions, will not be considered as a change in accounting policy.

(i) Accordingly, introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement is **not a change in an accounting policy**.

(ii) Similarly, the adoption of a new accounting policy for events or transactions which did not occur previously or that were immaterial will **not be treated as a change in an accounting policy**.

Question 15

The Accountant of Shiva Limited had sought your opinion with relevant reasons, whether the following transactions will be treated as change in Accounting Policies or change in Accounting Estimates for the year ended 31st March, 20X2. Please advise him in the following situations in accordance with provisions of AS 5:

(i) Provision for doubtful debts was created @3% till 31st March, 20X1. From the Financial year 20X1-20X2, the rate of provision has been changed to 4%.

(ii) During the year ended 31st March,20X2, the management has introduced a formal gratuity scheme in place of ad-hoc ex-gratia payments to employees on retirement.

(iii) Till 31st March, 20X1 the furniture was depreciated on straight line basis over a period of 5 year From the Financial year 20X1-20X2, the useful life of furniture has been changed to 3 years.

(iv) Management decided to pay pension to those employees who have retired after completing 5 years of service in the organization. Such employees will get pension of ₹ 20,000 per month. Earlier there was no such scheme of pension in the organization.

(v) During the year ended 31st March 20X2, there was change in cost formula in measuring the cost of inventories.

Answer

(i) In the given case, company has created 3% provision for doubtful debts till 31st March, 20X1. Subsequently from 1st April, 20X1, the company revised the estimates based on the changed circumstances and wants to create 4% provision. Thus, change in rate of provision of doubtful debt is **change in estimate** and is **not change in accounting policy**. This change will affect only current year.

(ii) As per AS 5 "Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies", the adoption of an accounting policy for events or transactions that differ in substance from previously occurring events or transactions, will not be considered as a change in accounting policy. Introduction of a formal retirement gratuity scheme by an employer in place of ad hoc ex-gratia payments to employees on retirement is a transaction which is substantially different from the previous transaction, will **neither be treated as change in an accounting policy nor change in accounting estimate**.

(iii) Change in useful life of furniture from 5 years to 3 years is a **change in accounting estimate** and is **not a change in accounting policy**.

(iv) Adoption of a new accounting policy for events or transactions which did not occur previously should not be treated as a change in an accounting policy. Hence the introduction of new pension scheme is **neither a change in accounting policy nor a change in accounting estimate**.

(v) Change in cost formula used in measurement of cost of inventories is **a change in accounting policy**.

Question 16

State whether the following items are examples of change in Accounting Policy/Change in Accounting Estimates/Extraordinary items/Prior period items/Ordinary Activity:

(i) Actual bad debts turning out to be more than provisions.

(ii) Change from Cost model to Revaluation model for measurement of carrying amount of PPE.

(iii) Government grant receivable as compensation for expenses incurred in previous accounting period.

(iv) Treating operating lease as finance lease.

(v) Capitalisation of borrowing cost on working capital.

(vi) Legislative changes having long term retrospective application.

(vii) Change in the method of depreciation from straight line to WDV.

(viii) Government grant becoming refundable.

(ix) Applying 10% depreciation instead of 15% on furniture.

(x) Change in useful life of fixed assets.

Answer

Classification of given items is as follows:

S.N.	Particulars	Remarks
(i)	Actual bad debts turning out to be more than provisions	Change in Accounting Estimates
(ii)	Change from Cost model to Revaluation model for measurement of carrying amount of PPE	Change in Accounting Policy
(iii)	Government grant receivable as compensation for expenses incurred in previous accounting period	Extra-ordinary Items

(iv)	Treating operating lease as finance lease	Prior-period Items
(v)	Capitalisation of borrowing cost on working capital	Prior-period Items (as interest on working capital loans is not eligible for capitalization)
(vi)	Legislative changes having long term retrospective application	Ordinary Activity require separate disclosure
(vii)	Change in the method of depreciation from straight line to WDV	Change in Accounting Estimates
(viii)	Government grant becoming refundable	Extra-ordinary Items
(ix)	Applying 10% depreciation instead of 15% on furniture	Prior-period Items
(x)	Change in useful life of fixed assets	Change in Accounting Estimates

Question 17

The accountant of Beryl Limited has asked you to identify the following items as – Change in Accounting Policies/Change in Accounting Estimates/Extraordinary Items/Prior period items/Ordinary Activity:

(i) Non-provision for salary already due in earlier year.

(ii) Attachment of the property of the enterprise.

(iii) Introduction of new pension scheme for employees.

(iv) Change in Reserve for obsolete inventory.

(v) Settlement of litigation case.

(vi) Actual Bad debts exceeds the provision.

(vii) Legislative changes having long term retrospective application.

(viii) Capitalisation of working capital loan interest.

(ix) Change from Cost Molde to Revaluation Model for measurement of carrying amount of PPE.

(x) Government sanctioned grant in current year for expenses incurred in previous accounting year.

Answer

(i) Prior Period item

(ii) Attachment of property of enterprise is an extraordinary item.

(iii) Introduction of new pension scheme for employees is not a change in accounting policy. It is an ordinary activity.

(iv) Change in provision for obsolete inventory is a change in accounting estimate.

(v) Litigation settlement is an ordinary activity but requires separate disclosure

(vi) Change in estimate

(vii) Ordinary activity requiring separate disclosure

(viii) Error (Prior period item)

(ix) Change in Accounting policy

(x) Extraordinary item

CHAPTER - 8
AS 7: Construction Contracts

Contract Revenue

Question 1

A contractor has entered into a contract with a municipal body for construction of a flyover. As per the contract terms, the contractor will receive an additional ₹ 2 Crore as incentive if the construction of the flyover were to be finished within a period of two years from the start of the contract. The contractor wants to recognize this revenue since in the past he has been able to meet similar targets very easily.

Explain whether the contractor's view-point is correct?

Answer

The contractor's view is **not entirely correct** in considering the variation as a part of contract revenue. There is an argument that he has been able to complete similar contracts within stipulated time. However, each contract needs to be assessed in isolation with respect to the specific challenges associated with the timing and uncertainty in completion.

Accordingly, the contractor needs to validate the assumptions with respect to the specific contract. Only after that assessment is done, the incentive of ₹ 2 crore may be included within the contract revenue.

Question 2

AB contactors enters into a contract on 1st January 20X1 with XY to construct a 5 storied building. Under the contract, AB is required to complete the construction in 3 years (i.e., by 31st December 20X3). The following information is relevant:

Fixed price (agreed) ₹ 5 crore

Material cost escalation (to the extent of 20% of increase in material cost)

Labour cost escalation (up to 30% of increase in minimum wages)

In case AB is able to complete the construction in less than 2 years and 10 months, it will be entitled for an additional incentive of ₹ 50 lakh. However, in case the construction is delayed beyond 3 years and 2 months, XY will charge a penalty of ₹ 20 lakh. At the start of the contract, AB has a reason to believe that construction will be completed in 2 years and 8 months. Assume that the construction was actually completed in 2 years 9 months.

Labour cost was originally estimated to be ₹ 1.20 crore (based on initial minimum wages). However, the costs have increased by 25% during the construction period.

Material costs have increased by 40% due to short-supply. The total increase in material cost due to the 40% escalation is ₹ 80 lakh.

You are required to suggest what should be the contract revenue in above case?

Assume that in year 20X2, XY has requested AB to increase the scope of the contract. An additional floor is required to be constructed and there is an increase in contract fee by ₹ 1 crore.

AB has incurred a cost of ₹ 20 lakh for getting the local authority approvals which it will be entitled to claim from XY in addition to the increase in the fixed fee.

Also measure the total contract revenue in this case.

Answer

Total Revenue after considering the escalation costs, claims and incentives:

	₹ in crore
Fixed Price	5.00
Incentive for early completion	0.50
Material costs recovery (to the extent of 20%)	0.40
Labour costs recovery (Actual increase is less than 30%) [1.20 crore x 25%]	0.30
	6.20
Add: Variation to the contract	1.00
Add: Claims recoverable from XY	0.20
Total Contract Revenue	**7.40**

Accounting of Construction Contracts [Profit in Contract]

Question 3

Uday Constructions undertake to construct a bridge for the Government of Uttar Pradesh. The construction commenced during the financial year ending 31.03.20X1 and is likely to be completed by the next financial year. The contract is for a fixed price of ₹ 12 crore with an escalation clause. You are given the following information for the year ended 31.03.20X1:

Cost incurred upto 31.03.20X1	₹ 4 crore
Further cost estimated to complete the contract	₹ 6 crore

Escalation in cost was by 5%. Hence, the contract price is also increased by 5%.

You are required to ascertain the stage of completion and compute the amount of revenue and profit to be recognized for the year as per AS 7.

Answer

Calculation of total contract revenue

	₹ in crore
Cost of construction of bridge incurred upto 31.3.20X1	4.00
Add: Estimated future cost	6.00
Total estimated cost of construction	10.00
Contract Price (12 crore x 1.05)	12.60

Stage of completion

Percentage of completion till date to total estimated cost of construction = (4/10) x 100 = 40%

Revenue and Profit to be recognized for the year ended 31st March, 20X1 as per AS 7

Proportion of total contract value recognized as revenue

= Contract price x percentage of completion = ₹ 12.60 crore x 40% = ₹ 5.04 crore

Profit for the year ended 31st March, 20X1 = ₹ 5.04 crore – ₹ 4 crore = 1.04 crore.

Question 4

The following data is provided for M/s. Raj Construction Co.

(i) Contract Price - ₹ 85 lakhs

(ii) Materials issued - ₹ 21 Lakhs out of which Materials costing ₹ 4 Lakhs is still lying unused at the end of the period.

(iii) Labour Expenses for workers engaged at site - ₹ 16 Lakhs (out of which ₹ 1 Lakh is still unpaid)

(iv) Specific Contract Costs - ₹ 5 Lakhs

(v) Sub-Contract Costs for work executed - ₹ 7 Lakhs, Advances paid to sub-contractors - ₹ 4 Lakhs

(vi) Further Cost estimated to be incurred to complete the contract - ₹ 35 Lakhs

You are required to compute the Percentage of Completion, the Contract Revenue and Cost to be recognized as per AS-7.

Answer

Computation of contract cost

	₹ Lakh	₹ Lakh
Material cost incurred on the contract (net of closing stock)	21– 4	17
Add: Labour cost incurred on the contract (including outstanding amount)		16
Specified contract cost	given	5
Sub-contract cost (advances should not be considered)		7
Cost incurred (till date)		45
Add: Further cost to be incurred		35
Total contract cost		**80**

Percentage of completion

= [Cost incurred till date/Estimated total cost] x 100 = [₹ 45,00,000/₹ 80,00,000] x 100 = 56.25%

Contract revenue and costs to be recognized:

Contract revenue (₹ 85,00,000 x 56.25%) = ₹ 47,81,250

Contract costs = ₹ 45,00,000

Question 5

Rajendra undertook a contract ₹ 20,00,000 on an arrangement that 80% of the value of work done, as certified by the architect of the contractee should be paid immediately and that the remaining 20% be retained until the Contract was completed.

In Year 1, the amounts expended were ₹ 8,60,000, the work was certified for ₹ 8,00,000 and 80% of this was paid as agreed. It was estimated that future expenditure to complete the Contract would be ₹ 10,00,000.

In Year 2, the amounts expended were ₹ 4,75,000. Three-fourth of the work under contract was certified as done by December 31st and 80% of this was received accordingly. It was estimated that future expenditure to complete the Contract would be ₹ 4,00,000.

In Year 3, the amounts expended were ₹ 3,10,000 and on June 30th, the whole Contract was completed.

Show how Contract revenue would be recognized in the P&L A/c of Mr. Rajendra each year.

Answer

Year 1

	₹
Actual expenditure	8,60,000
Future estimated expenditure	10,00,000
Total Estimated cost of construction	18,60,000
Degree of completion (8,60,000/18,60,000 x 100)	46.24% (rounded off)
Revenue recognized (20,00,000 x 46.24%)	**₹ 9,24,800**

Year 2

	₹
Actual expenditure	4,75,000
Expenditure incurred in Year 1	8,60,000
Total cost incurred so far	13,35,000
Future estimated expenditure	4,00,000
Total Estimated cost of construction	**17,35,000**
Degree of completion (13,35,000/17,35,000 x 100)	76.95% (rounded off)
Revenue to be recognized (cumulative) [20,00,000 x 76.95%]	15,39,000
Less: revenue recognized in Year 1	(9,24,800)
Revenue to be recognized in Year 2	**₹ 6,14,200**

Year 3

Whole contract got completed therefore total contract value less revenue recognized up to year 2 will be amount of revenue to be recognized in year 3 i.e. 20,00,000 – 15,39,000 (9,24,800 + 6,14,200) = ₹ 4,61,000.

Question 6

A construction contractor has a fixed price contract for ₹ 9,000 lakhs to build a bridge in 3 years' time frame. A summary of some of the financial data is as under: **(Amount ₹ in lakhs)**

	Year 1	Year 2	Year 3
Initial Amount for revenue agreed in Contract	9,000	9,000	9,000
Variation in Revenue (+)	–	200	200
Contracts costs incurred up to the reporting date	2,093	6,168*	8,100**
Estimated profit for whole contract	950	1,000	1,000

*Includes ₹ 100 lakhs for standard materials stored at the site to be used in year 3 to complete the work.

**Excludes ₹ 100 lakhs for standard material brought forward from year 2. The variation in cost and revenue in year 2 has been approved by customer.

Compute year wise amount of revenue, expenses, contract cost to complete and profit or loss to be recognized in the Statement of Profit and Loss as per AS-7 (revised).

Answer

The amounts of revenue, expenses and profit recognized in the statement of profit and loss in three years are computed below: **(Amount in ₹ lakhs)**

	Upto the reporting date	Recognized in previous years	Recognized in current year
Year 1			
Revenue (9,000 x 26%)	2,340	–	2,340
Expenses (8,050 x 26%)	2,093	–	2,093
Profit	**247**	–	**247**
Year 2			
Revenue (9,200 x 74%)	6,808	2,340	4,468
Expenses (8,200 x 74%)	6,068	2,093	3,975
Profit	**740**	**247**	**493**
Year 3			
Revenue (9,200 x 100%)	9,200	6,808	2,392
Expenses (8,200 x 100%)	8,200	6,068	2,132
Profit	**1,000**	**740**	**260**

Working Note:

		Year 1	Year 2	Year 3
Revenue after considering Variations		9,000	9,200	9,200
Less: Estimated profit for whole Contract		950	1,000	1,000
Estimated total cost of the contract	(A)	8,050	8,200	8,200
Actual cost incurred upto the reporting date	(B)	2,093	6,068	8,200
			(6,168 – 100)	(8,100 + 100)
Degree of completion	**(B/A)**	**26%**	**74%**	**100%**

Question 7

Mehta ltd. has undertaken bridge construction contract wherein, bridge will be constructed in 3 years. The details of the contracts are as follows:

(i) Initial contract revenue ₹ 900 crore

(ii) Initial contract cost ₹ 800 crore

₹ in crore

	Year I	Year II	Year III
Estimated contract cost	805		
Increase in contract revenue	–	20	
Estimated additional increase cost	–	15	
Contract cost incurred upto	161	584	820

At the end of year II, cost incurred includes ₹ 10 crore, for material stored at the sites to be used in year III to

complete the project.

State the amount of revenue, expenses and profit to be recognized in the Statement of Profit and Loss in these three years.

Answer

Statement showing analysis of the contract details **(₹ in crore)**

		Year I	Year II	Year III
(a)	Initial revenue agreed	900	900	900
(b)	Increase in contract revenue	–	20	20
(c)	**Total Contract Value**	**900**	**920**	**920**
(d)	Contract cost incurred upto reporting date	161	574*	820
(e)	Estimated cost to complete	644	246	–
(f)	**Total estimated contract**	**805**	**820 (805 + 15)**	**820**
(g)	Stage of Completion [(d/f) x 100)]	20% (161/805 x 100)	70% (574/820 x 100)	100% (820/820 x 100)

*Note: ₹ 10 crore, for material stored at the sites to be used in its 1st year. i.e. in IInd year it is already included so it will be deducted in II year only.

Statement showing amount of revenue, expenses and profit to be recognized in the Statement of Profit and Loss in three years **(₹ in crore)**

	Upto reporting date	Recognised in the prior year	Recognized in current year
Year I			
Revenue (900 x 20/100)	180	–	180
Expenses	161	–	161
Profit	**19**	–	**19**
Year II			
Revenue (920 x 70/100)	644	180	464
Expenses (820 x 70/100)	574	161	413
Profit	**70**	**19**	**51**
Year III			
Revenue	920	644	276
Expenses	820	574	246
Profit	**100**	**70**	**30**

Question 8

RT Enterprises has entered into a fixed price contract for construction of a tower with its customer. Initial tender price agreed is ₹ 220 crore. At the start of the contract, it is estimated that total costs to be incurred will be ₹ 200 crore. At the end of year 1, this estimate stands revised to ₹ 202 crore. Assume that the construction is expected to be completed in 3 years.

During year 2, the customer has requested for a variation in the contract. As a result of that, the total contract

value will increase by ₹ 5 crore and the costs will increase by ₹ 3 crore.

RT has decided to measure the stage of completion on the basis of the proportion of contract costs incurred to the total estimated contract costs. Contract costs incurred at the end of each year is:

Year 1: ₹ 52.52 crore

Year 2: ₹ 154.20 crore (including unused material of 2.5 crore)

Year 3: ₹ 205 crore.

You are required to calculate:

(a) Stage of completion for each year.

(b) Profit to be recognised for each year.

Answer

(a) Stage of completion = Costs incurred to date/Total estimated costs

Year 1: 52.52 crore/202 crore = 26%

Year 2: (154.20 crore – 2.50 crore)/205 crore = 74%

Year 3: 205 crore/205 crore = 100%

(b) Profit for the year **₹ in crore**

		Year 1	Year 2	Year 3
Contract Revenue	(1)	57.20 (220 x 26%)	109.30 (225 x 74% – 57.20)	58.50 (225 x 100% – 109.30 – 57.20)
Contract Cost	(2)	52.52	99.18 (154.2 – 2.5 – 52.52)	53.30 (205 – 99.18 – 52.52)
Contract Profit	**(1) – (2)**	**4.68**	**10.12**	**5.20**

Question 9

X Ltd. commenced a construction contract on 01.04.20X1. The fixed contract price agreed was ₹ 2,00,000. The company incurred ₹ 81,000 in 20X1-X2 for 45% work and received ₹ 79,000 as progress payment from the customer. The cost incurred in 20X2-X3 was ₹ 89,000 to complete the rest of work. Show the extract of the Profit and Loss Account and Customer's Account for the related years.

Answer

Profit & Loss Account

Year		₹'000	Year		₹'000
20X1-X2	To Cons. Costs (for 45% work)	81	20X1-X2	By Contract Price (45% of CP)	90
	To Net profit (for 45% work)	9			
		90			**90**
20X2-X3	To Cons. Costs (for 55% work)	89	20X2-X3	By Contract Price (55% of CP)	110
	To Net Profit (for 55% work)	21			
		110			**110**

Customer's Account

Year		₹'000	Year		₹'000
20X1-X2	To Contract Price	90	20X1-X2	By Bank	79
				By Balance c/d	11
		90			**90**
20X2-X3	To Balance b/d	11	20X2-X3	By Bank	121
	To Contract Price	110			
		121			**121**

Accounting of Construction Contracts [Loss in Contract]

Question 10

On 1st December, 20X1, Vishwakarma Construction Co. Ltd. undertook a contract to construct a building for ₹ 85 lakhs. On 31st March, 20X2, the company found that it had already spent ₹ 64,99,000 on the construction. Prudent estimate of additional cost for completion was ₹ 32,01,000. What amount should be recognized in the statement of profit and loss for the year ended 31st March, 20X2 as per provisions of Accounting Standard 7 (Revised)?

Answer

	₹
Cost incurred till 31st March, 20X2	64,99,000
Prudent estimate of additional cost for completion	32,01,000
Total cost of construction	97,00,000
Less: Contract price	(85,00,000)
Total foreseeable loss	**12,00,000**

According to AS 7, the amount of ₹ 12,00,000 is required to be recognised as an expense.

Contract work in progress = (₹ 64,99,000/97,00,000) x 100 = 67%

Proportion of total contract value recognised as turnover = 67% of ₹ 85,00,000 = **₹ 56,95,000**

The amount of expected loss will be split as under:

Particulars	Workings	Amount
Expected Loss	97,00,000 – 85,00,000	12,00,000
Contract revenue	67% of 85,00,000	56,95,000
Contract cost	Given	64,99,000
Actual loss	56,95,000 – 64,99,000	8,04,000
Amount of provision required [As per Para 35]	12,00,000 – 8,04,000	3,96,000

Question 11

Akar Ltd. Signed on 01.04.X1, a construction contract for ₹ 1,50,00,000. Following particulars are extracted in respect of contract, for the year ended 31.03.X2.

- Materials used ₹ 71,00,000

- Labour charges paid ₹ 36,00,000
- Hire charges of plant ₹ 10,00,000
- Other contract cost incurred ₹ 15,00,000
- Labour charges of ₹ 2,00,000 are still outstanding on 31.03.X2.
- It is estimated that by spending further ₹ 33,50,000 the work can be completed in all respect.

You are required to compute profit/loss for the year to be taken to Profit & Loss Account and any provision for foreseeable loss to be recognized as per AS 7.

Answer

Statement showing the amount of profit/loss to be taken to Profit and Loss Account and additional provision for the foreseeable loss as per AS 7

Cost of Construction		**₹**
Material used		71,00,000
Add: Labour Charges paid	36,00,000	
Outstanding on 31.03.20X2	2,00,000	38,00,000
Hire Charges of Plant		10,00,000
Other Contract cost incurred		15,00,000
Cost incurred upto 31.03.20X2		**1,34,00,000**
Add: Estimated future cost		33,50,000
Total Estimated cost of construction		**1,67,50,000**
Degree of completion (1,34,00,000/1,67,50,000 x 100)		80%
Revenue recognized (80% of 1,50,00,000)		1,20,00,000
Total foreseeable loss (1,67,50,000 – 1,50,00,000)		17,50,000
Less: Loss for the current year (1,34,00,000 – 1,20,00,000)		14,00,000
Loss to be provided for		**3,50,000**

Question 12

Grace Ltd., a firm of contractors provided the following information in respect of a contract for the year ended on 31st March,20X1:

Particulars	**(₹ in '000)**
Fixed Price Contract with an escalation clause	35,000
Work Certified	17,500
Work not Certified (includes ₹ 26,25,000 for materials issued, out of which material lying unused at the end of the period is ₹ 1,40,000)	3,815
Estimated further cost to completion	17,325
Progress Payment Received	14,000
Payment to be Received	4,900
Escalation in cost is by 8% and accordingly the contract price is increased by 8%	

From the above information, you are required to:

(i) Compute the contract revenue to be recognized.

(ii) Calculate Profit/Loss for the year ended 31st March,20X1 and additional provision for loss to be made, if any, for the year ended 31st March,20X1.

Answer

Calculation of total estimated cost of construction

	₹ in thousand
Work certified	17,500
Work not certified (3,815 thousand – 140 thousand)	3,675
Cost of Contract incurred till date	**21,175**
Add: Estimated future cost	17,325
Total estimated cost of construction	**38,500**
Contract Price (35,000 thousand x 1.08)	37,800

Stage of completion

Percentage of completion till date to total estimated cost of construction:

= [Cost of work completed till date/total estimated cost of the contract] x 100

= [₹ 21,175 thousand/₹ 38,500 thousand] x 100 = 55%

Revenue to be recognized for the year ended 31st March, 20X1

Proportion of total contract value recognized as revenue:

= Contract price x percentage of completion = ₹ 37,800 thousand x 55% = ₹ 20,790 thousand

Loss to be recognized for the year ended 31st March, 20X1

Loss for the year ended 31st March, 20X1

= Cost incurred till date – Revenue to be recognized for the year ended 31st March, 20X1

= ₹ 21,175 thousand – ₹ 20,790 thousand = ₹ 385 thousand

Provision for loss to be made at the end of 31st March, 20X1

	₹ in thousand
Total estimated cost of the contract	38,500
Less: Total revised contract price	(37,800)
Total estimated loss on the contract	700
Less: Loss recognized for the year ended 31st March, 20X1	(385)
Provision for loss to be made at the end of 31st March, 20X1	**315**

Question 13

A firm of contractors obtained a contract for construction of bridges across river Revathi. The following details are available in the records kept for the year ended 31st March, 20X1.

	(₹ in lakhs)
Total Contract Price	1,000
Work Certified for the cost incurred	500

Work yet not Certified for the cost incurred	105
Estimated further Cost to Completion	495
Progress Payment Received	400
Progress Payment to be Received	140

Applying the provisions of Accounting Standard 7 "Accounting for Construction Contracts" you are required to compute:

(i) Profit/Loss for the year ended 31st March, 20X1.

(ii) Contract work in progress as at end of financial year 20X0-X1.

(iii) Revenue to be recognized out of the total contract value.

(iv) Amount due from/to customers as at the year end.

Answer

(i) Amount of foreseeable loss

	(₹ in lakhs)
Total cost of construction (500 + 105 + 495)	1,100
Less: Total contract price	(1,000)
Total foreseeable loss to be recognized as expense	**100**

According AS 7, when it is probable that total contract costs will exceed total contract revenue, the expected loss should be recognized as an expense immediately.

(ii) Contract work-in-progress

	(₹ in lakhs)
Work certified	500
Work not certified	105
Contract work-in-progress	**605**

(iii) Proportion of total contract value recognized as revenue

	(₹ in lakhs)
55% of ₹ 1,000 lakhs	550

(iv) Gross Amount due from/to customers

= (Contract costs + Recognized profits – Recognized Losses) – (Progress payments received + Progress payments to be received)

= [605 + Nil – 100] – [400 + 140]

= [505 – 540]

Amount due to customers = ₹ 35 lakhs (The amount of ₹ 35 lakhs will be shown in the balance sheet as liability)

Question 14

Show Profit & Loss A/c (Extract) in books of a contractor in respect of the following data for Year 1.

Information for Year 1	**₹ in 000**

Contract price (Fixed)	600
Cost incurred to date	390
Estimated cost to complete	260

Assume that the contract period is 2 years. The contract is 100% completed by Year 2. Actual costs incurred is the same as total estimated costs to complete (Cost incurred to date plus estimated cost to complete).

Answer

			₹ in 000
	Year (1)	**Total up to Year 2 (2)**	**Year 2 (2) – (1)**
A. Cost incurred to date	(390)	(650)	(260)
B. Estimate of cost to completion	(260)	–	–
C. Estimated total cost	(650)	650	650
D. Degree of completion (A/C)	60%	100%	40%
E. Revenue Recognised			
(60% of 600)	360		
(100% of 600)		600	240
Total foreseeable loss (650 – 600)	50		
Less: Loss for current year (E – A)	(30)		
Expected loss to be recognised immediately	**(20)**		
Reversal of Loss provision in Year 2			**20**

Profit & Loss A/c (Year 1)

	₹		₹
To Construction costs	390	By Contract Price	360
To Provision for loss	20	By Net Loss	50
	410		**410**

Profit & Loss A/c (Year 2)

	₹		₹
To Construction costs	260	By Contract Price	240
		By Reversal of Provision for loss	20
	260		**260**

Question 15

X Ltd. commenced a construction contract on 01/04/X1. The contract price agreed was reimbursable cost plus 10%. The company incurred ₹ 1,00,000 in 20X1-X2, of which cost of ₹ 90,000 is reimbursable. The further non-reimbursable costs to be incurred to complete the contract are estimated at ₹ 5,000. The other costs to complete the contract could not be estimated reliably.

Prepare Profit & Loss A/c extract of X Ltd. to find out profit or loss for 20X1-X2.

Answer

Profit & Loss Account

Year		₹'000	Year		₹'000
20X1-X2	To Cons. Costs	100	20X1-X2	By Contract Price (90 + 9)	99
	To Provision for loss	5		By Net profit	6
		105			**105**

Accounting of Construction Contracts [Uncertainity in Outcome of Contract]

Question 16

PQ & Associates undertakes a construction contract the details of which are provided below:

Total Contract Value	₹ 40 lakh
Costs incurred to date	₹ 3 lakh
Estimated future costs of completion	₹ 30 lakh
Work completed	10%

The work has started some time ago and there is an uncertainty with respect to the outcome of the contract due to expected changes in regulations. PQ is certain that it would be able to recover the costs incurred to date.

Answer

In the given case, revenue and costs can only be recognised to the extent of the costs incurred and those which are expected to be recovered. Therefore, the profit & loss statement would appear as under:

Contract Revenue	₹ 3 lakh
Contract Costs	₹ 3 lakh
Contract Profit	**Nil**

When the uncertainties that prevented the outcome of the contract being estimated reliably cease to exist, revenue and expenses associated with the construction contract should be recognised by the percentage completion method.

Combining and Segmenting of Construction Contracts

Question 17

XYZ construction Ltd, a construction company undertakes the construction of an industrial complex. It has separate proposals raised for each unit to be constructed in the industrial complex. Since each unit is subject to separate negotiation, he is able to identify the costs and revenues attributable to each unit. Should XYZ Ltd. treat construction of each unit as a separate construction contract according to AS 7?

Answer

As per **AS 7** 'Construction Contracts', when a contract covers a number of assets, the construction of each asset should be treated as a separate construction contract when:

(a) Separate proposals have been submitted for each asset;

(b) Each asset has been subject to separate negotiation and the contractor and customer have been able to

accept or reject that part of the contract relating to each asset; and

(c) The costs and revenues of each asset can be identified.

Therefore, XYZ Ltd. is required to treat construction of **each unit as a separate construction contract**.

Question 18

AP Ltd., a construction contractor, undertakes the construction of commercial complex for Kay Ltd. AP Ltd. submitted separate proposals for each of 3 units of commercial complex. A single agreement is entered into between the two parties. The agreement lays down the value of each of the 3 units, i.e. ₹ 50 Lakh ₹ 60 Lakh and ₹ 75 Lakh respectively. Agreement also lays down the completion time for each unit.

Comment, with reference to AS-7, whether AP Ltd., should treat it as a single contract or three separate contracts.

Answer

As per **AS 7** 'Construction Contracts', when a contract covers a number of assets, the construction of each asset should be treated as a separate construction contract when:

(a) Separate proposals have been submitted for each asset;

(b) Each asset has been subject to separate negotiation and the contractor and customer have been able to accept or reject that part of the contract relating to each asset; and

(c) The costs and revenues of each asset can be identified.

Therefore, AP Ltd. is required to treat construction of each unit as a **separate construction contract** as the above-mentioned conditions of AS 7 are fulfilled in the given case.

Question 19

Entity XY contracts with AB to construct 2 residential buildings in the same premises. The construction of both buildings will begin simultaneously. Building material, construction work, and other related activities will go on in parallel to provide cost savings to entity XY. This also helps AB achieve a timely completion of the two buildings and negotiate a consolidated price for the two buildings.

Does construction of both buildings is considered as single contract or separate contracts?

Answer

The above question suggests that there is a single contract negotiated to construct two buildings that are closely interrelated and interdependent in terms of their ultimate purpose and use. Therefore, this represents a **Single Construction Contract**.

CHAPTER - 9
AS 9: Revenue Recognition

Amount of Revenue to be Recognised

Question 1

Zigato runs a food-delivery business. As per the arrangement, Zigato allows customers to order food from local restaurants and is responsible the delivery of the food within stipulated time. During a particular year, it collects the money on orders made online as under:

Total price for the food item	₹ 200 lakhs
Delivery charges	₹ 60 lakhs
GST	₹ 40 lakhs
Total	₹ 300 lakhs

Zigato has received ₹ 300 lakhs for the above orders from customers and the orders were delivered to the customer in stipulated time.

How much revenue should be recognised by restaurants and how much revenue should be recognised by Zigato for the year?

Answer

The risks and rewards associated with the food item are not with Zigato. When a customer has ordered a food item, whether the item will be prepared or not is the responsibility of the restaurant and not Zigato. Similarly, the responsibility to deliver the food item is with Zigato and the restaurant does not undertake responsibility for the same.

Therefore, the restaurant undertakes the principal's responsibility to prepare the food and ensure its quality. Zigato, on the other hand, is only responsible to deliver the food. Thus, Zigato is acting as an agent. Hence, it can only recognize revenue relating to that activity (which it does in the ordinary course of business). The **revenue for Zigato, therefore, is ₹ 60 lakhs**, whereas, the revenue **for restaurants will be ₹ 200 lakhs**.

It may be noted that the **GST of ₹ 40 lakhs** is a liability payable to the Government (third party), hence it does **not form part of revenue**.

Timing When Revenue to be Recognised [Sale of Goods]

Question 2

GH manufactures and sells televisions. The televisions are shipped to the customer by sea. In order to transfer risk related to the shipment of the televisions, GH also gets an insurance coverage for the goods while they are in transit from the factory to customer's location.

The insurance policy will reimburse GH for the value of the goods in the event of loss or damage arising anytime up to these goods reaching customer's location. The legal title passes when the goods arrive at the customer's premises one month later.

When should Entity GH recognize revenue in its books?

Answer

GH should recognize revenue for the sale when the goods **arrive at the customer's premises**. GH has not transferred the televisions significant risks and rewards of ownership to the customer when the goods depart from the factory. This is evidenced by the fact that any insurance proceeds received from the goods damage or destruction will be repaid to GH. Further, the legal title does not pass until the goods arrive at the customer's premises.

Question 3

A manufacturing company has the following stages of production and sale in manufacturing fine paper rolls:

Date	Activity	Cost to Date (₹)	Net Realizable Value (₹)
15.1.20X1	Raw Material	1,00,000	80,000
20.1.20X1	Pulp (WIP 1)	1,20,000	1,20,000
27.1.20X1	Rough & thick paper (WIP 2)	1,50,000	1,80,000
15.2.20X1	Fine Paper Rolls	1,80,000	3,50,000
20.2.20X1	Ready for sale	1,80,000	3,50,000
15.3.20X1	Sale agreed and invoice raised	2,00,000	3,50,000
02.4.20X1	Delivered and paid for	2,00,000	3,50,000

Explain the stage on which you think revenue will be generated and calculate how much would be net profit for year ending 31.3.X1 on this product as per AS 9.

Answer

According to **AS 9** "Revenue Recognition", in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions have been fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

Thus, sales will be recognized only when following two conditions are satisfied:

(i) The sale value is fixed and determinable.

(ii) Property of the goods is transferred to the customer.

Both these conditions are **satisfied only on 15.3.20X1** when sales are agreed upon at a price and goods are allocated for delivery purpose through invoice. The amount of **net profit ₹ 1,50,000** (3,50,000 – 2,00,000) would be recognized in the books for the year ending 31st March, 20X1.

Question 4

AB sells goods to CD on 1st March 20X1. CD is having significant cash flows issues since last few months. However, it is trying to raise funding through bank loan to be able to run its operations in future. On 5th of May 20X1, CD is able to seek the funding and is expected to be able to pay for the goods in future.

At the time of sale, it is difficult for AB to ascertain whether it will be able to collect the amount from CD due to poor financial conditions.

Explain how the recognition of revenue be done by AB?

Answer

In the above case, AB should not recognise any revenue on 1st of March and until that **uncertainty of recovery** is clear. **Hence**, the revenue can only be **recognised by AB on 5th of May 20X1**. The inventory transferred to CD until that date is required to be shown as its own inventory [inventory lying with customers].

Question 5

AB sells goods to CD on 1st January 20X1 for ₹ 2 lakhs. After the sale was made, CD is having significant cash flows issues. It is trying to raise funding through bank loan to be able to run its operations in future. However, it is unable to do so and has gone under liquidation on 15th of March 20X1.

At the time of sale, there was no reason for AB to believe that it will not be able to collect the amount from CD in future.

Explain how the recognition of revenue be done by AB for the year ended 31st March 20X1?

Answer

In the above case, at the time of sale, it was not unreasonable for AB to expect ultimate collection from CD. Therefore, AB should **recognise the revenue of ₹ 2 lakhs on 1st of January 20X1** and recognise a receivable for the same amount.

Later, since **CD went into liquidation**, AB should **write off the receivables** and book a loss in his books.

Accounting in the books of AB

Date	Particulars		Debit (₹)	Credit (₹)
1.1.20X1	CD A/c (Receivables)	Dr.	2 lakhs	
	To Revenue A/c			2 lakhs
	(Being goods sold to CD Ltd)			
15.3.20X1	Bad Debts A/c	Dr.	2 lakhs	
	To CD A/c (Receivables)			2 lakhs
	(Being CD receivables written off due to its liquidation)			

Question 6

Raj Ltd. entered into an agreement with Heena Ltd. to dispatch goods valuing ₹ 5,00,000 every month for next 6 months on receipt of entire payment. Heena Ltd. accordingly made the entire payment of ₹ 30,00,000 and Raj Ltd. started dispatching the goods. In fourth month, due to fire in premise of Heena Ltd., Heena Ltd. requested to Raj Ltd. not to dispatch goods worth ₹ 15,00,000 ready for dispatch. Raj Ltd. accounted ₹ 15,00,000 as sales and transferred the balance to Advance received against Sales account.

Comment upon the above treatment by Raj Ltd. with reference to the provision of AS-9.

Answer

As per **AS 9** "Revenue Recognition", in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions are fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

In the given case, transfer of property in goods results in or coincides with the transfer of significant risks and rewards of ownership to the buyer. Also, the sale price has been recovered by the seller. Hence, the sale is complete but delivery has been postponed at buyer's request. Raj Ltd. should **recognize the entire sale of ₹ 30,00,000** (₹ 5,00,000 x 6) and **no part of the same is to be treated as Advance Received against Sales**.

Question 7

Shipra Ltd., has been successful jewellers for the past 100 years and sales are against cash only (returns are negligible). The company also diversified into apparels. A young senior executive was put in charge of Apparels business and sales increased 5 times. One of the conditions for sales is that dealers can return the unsold stocks within one month of the end of season. Sales return for the year was 25% of sales. Suggest a suitable Revenue Recognition Policy, with reference to AS 9.

Answer

As per **AS 9** "Revenue recognition", revenue recognition is mainly concerned with the timing of recognition of revenue in statement of profit and loss of an enterprise. The amount of revenue arising on a transaction is usually determined by the agreement between the parties involved in the transaction. When uncertainties exist regarding the determination of the amount, or its associated costs, these uncertainties may influence the timing of revenue recognition.

Effect of Uncertainty- In the case of the **jewellery business** the company is selling for cash and returns are negligible. Hence, **revenue can be recognized on sales**. On the other hand, in **Apparels Industry**, the dealers have a right to return the unsold goods within one month of the end of the season. In this case, the company is bearing the risk of sales return and therefore, the company should **not recognize the revenue to the extent of 25% of its sales**. The company may disclose suitable revenue recognition policy in its financial statements separately for both Jewellery and Apparels business.

Question 8

A Limited sells goods with unlimited right of return from its customers. The following pattern has been observed in the Return of Sales:

Time frame of Return from date of purchase	% of Cumulative Sales
Between 0 - 1 month	6%
Between 1 - 2 months	7%
Between 2 - 3 months	8%

The Company has made Sales of ₹ 36 Lakhs in the month of January, ₹ 48 Lakhs in the month of February and of ₹ 60 Lakhs in the month of March. The Total Sales for the Financial Year have been ₹ 400 Lakhs and the Cost of Sales was ₹ 320 Lakhs. You are required to determine the amount of Provision to be made and Revenue to be recognized for the year ended 31st March.

Answer

Amount of provision

The goods are sold with a right to return. The existence of such right gives rise to a present obligation on the company as per **AS 29,** 'Provisions, Contingent Liabilities and Contingent Assets'. According to the standard, a provision should be created on the Balance sheet date, for sales returns after the Balance Sheet date, at the best estimate of the loss expected, along with any estimated incremental cost that would be necessary to resell the goods expected to be returned.

Sales during	Sales value (₹ in lacs)	Sales value (cumulative) ₹ (in lacs)	Likely returns (%)	Likely returns (₹ in lacs)	Provision @ 20% (₹ in lacs) (Refer W.N.)
March	60	60	6%	3.60	0.720
February	48	108	7%	7.56	1.512
January	36	144	8%	11.52	2.304
Total				**22.68**	**4.536**

Revenue to be recognized

Revenue in respect of sale of goods is recognized fully at the time of sale itself assuming that the company has complied with the conditions stated in AS 9 relating to recognition of revenue in the case of sale of goods. As per **AS 9**, in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions have been fulfilled:

(i) Seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) No significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods. AS 9 also provides that in case of retail sales offering a guarantee of 'money back, if not completely satisfied, it may be appropriate to recognize the sale but to make a suitable provision for returns based on previous experiences.

Therefore, sale of ₹ 36 lakhs, ₹ 48 lakhs and ₹ 60 lakhs made in the months of January, February and March will be recognized at full value. Thus, **total revenue to be recognized for ₹ 400 lakhs for the year**.

Working Note:

Calculation of Profit % on sales

	(₹ in lacs)
Sales for the year	400
Less: Cost of sales	(320)
Profit	**80**
Profit mark up on sales [(80/400) x 100]	**20%**

Question 9

When will the revenue be recognized in the case of inter divisional transfers?

Answer

The Accounting Standard Board of lCAl has come up with an announcement in the earlier years wherein it

clarified that the inter-divisional transfers/sales are not revenue as per **AS 9** "Revenue Recognition". According to it, in case of inter-divisional transfers, risks and rewards remain within the enterprise and also there is no consideration from the point of view of the enterprise as a whole. Therefore, the recognition criteria for revenue recognition are also not fulfilled in respect of inter-divisional transfers. Hence, **no revenue is recognized in the case of inter-divisional transfers.**

Timing When Revenue to be Recognised [Rendering of Services]

Question 10

How will you recognize revenue in the following cases:

1. Installation Fees;
2. Advertising and insurance agency commissions;
3. Subscriptions for publications.

Answer

Installation Fees	In cases where installation fees are other than incidental to the sale of a product, they should be recognized as revenue only when the **equipment is installed and accepted** by the customer.
Advertising and insurance agency commissions	Revenue should be recognized when the service is completed. For advertising agencies, media commissions will normally be recognized when the related advertisement or commercial **appears before the public** and the necessary intimation is received by the agency, as opposed to production commission, which will be recognized when the project is completed. Insurance agency commissions should be recognized on the **effective commencement or renewal dates** of the related policies.
Subscription for publications	Revenue received or billed should be deferred and recognized either **on a straight-line basis over time or**, where the items delivered vary in value from period to period, revenue should be **based on the sales value** of the item delivered in relation to the total sales value of all items covered by the subscription.

Question 11

Old Era Publication Publishes a popular monthly magazine on 15th of every month. The publication sells the advertising space on terms of 90% payable in advance and the balance 10% payable within 30 days of release of the publication. The space for March 20X1 issue of the magazine was sold in the month of February, 20X1. The magazine was published as per schedule on 15th of the month. The amount of ₹ 2,70,000 has been received upto 31st March, 20X1 and ₹ 30,000 was received on 10th April, 20X1 for advertisement published in the March issue of the publication.

Please advise the accountant the amount of revenue to be recognized in the context of the provisions of AS 9 'Revenue Recognition' during the year ending on 31st March, 20X1.

Answer

Definition: As per AS 9 'Revenue Recognition', in a transaction involving the rendering of services, performance should be measured either under the completed service contract method or under the

proportionate completion method, whichever relates the revenue to the work accomplished.

Analysis of given case: In the given case, income accrues when the related advertisement appears before public. The advertisement service would be considered as performed on the day the advertisement is appeared for public and hence revenue is recognized on that date. In this case, **it is 15.03.20X1**, the date of publication of the magazine.

Accounting treatment for given situation: Hence, ₹ 3,00,000 (₹ 2,70,000 + ₹ 30,000) is recognized as income in March, 20X1. The terms of payment are not relevant for considering the date on which revenue is to be recognized. ₹ 30,000 is treated as amount due from advertisers as on 31.03.20X1 and ₹ 2,70,000 will be treated as payment received against the sale.

Timing When Revenue to be Recognised [Dividend, Interest, Royalty Income]

Question 12

During the year ended 31st March 20X1, ZX Enterprises has recognized ₹ 100 lakhs on accrual basis income from dividend on units of mutual funds held by it. The dividends on mutual funds were declared on 15th June, 20X1. The dividend was proposed on 10th April, 20X1.

Whether the above treatment is as per the relevant Accounting Standard?

Answer

Dividends from investments in shares are not recognized in the statement of profit and loss until a right to receive payment is established. In the given situation, the dividend is proposed on 10th April, 20X1, while it is declared on 15th June, 20X1. Thus, **right** to receive payment of dividend gets **established on 15th June, 20X1**.

The recognition of ₹ 100 lakhs on accrual basis in the financial year 20X0-20X1 is **not correct** as per **AS 9** 'Revenue Recognition'.

Question 13

Ruby Ltd. sold goods through its agent. As per terms of sales, consideration is payable within one month. In the event of delay in payment, interest is chargeable @ 10% p.a. from the agent. The company has not realized interest from the agent in the past. For the year ended 31st March, 20X1 interest due from agent (because of delay in payment) amounts to ₹ 5 lakhs. The accountant of Ruby Ltd. booked ₹ 5 lakhs as interest income in the year ended 31st March, 20X1.

Examine and discuss the contention of the accountant with reference to AS 9 "Revenue Recognition".

Answer

As per **AS 9** "Revenue Recognition", "where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, the revenue recognition is postponed to the extent of uncertainty involved. In such cases, the revenue is recognized only when it is reasonably certain that the ultimate collection will be made". In this case, the company never realized interest for the delayed payments made by the agent. Hence, based on the past experience, the realization of interest for the delayed payments by the agent is **very much uncertain**. The interest should be recognized only if the ultimate collection is certain. Therefore, the **interest income of ₹ 5 lakhs should not be recognized** in the books for the year ended 31st March, 20X1. Thus, the contention of **accountant is incorrect**. However, if the agents have agreed to pay

the amount of interest and there is an element of certainty associated with these receipts, the accountant is correct regarding booking of ₹ 5 lakhs as interest amount.

Question 14

PQR Ltd., sells agriculture products to dealers. One of the conditions of sale is that interest is at the rate of 2% p.m., for delayed payments. Percentage of interest recovery is only 10% on such overdue outstanding due to various reasons. During the year 20X1-X2 the company wants to recognize the entire interest receivable. Do you agree?

Answer

As per **AS 9** 'Revenue Recognition', where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, e.g. for escalation of price, export incentives, interest etc., revenue recognition is **postponed to the extent of uncertainty involved**. In such cases, it may be appropriate to recognise revenue only when it is reasonably certain that the ultimate collection will be made. Where there is no uncertainty as to ultimate collection, revenue is recognised at the time of sale or rendering of service even though payments are made by instalments.

Thus, PQR Ltd. cannot recognise the interest amount unless the company actually receives it. Since, only 10% rate of recovery on overdue outstanding is certain based on previous record. Hence, the company is **advised to recognise interest income of only 10% and remaining 90% on receipt basis**.

Question 15

Y Ltd., used certain resources of X Ltd. In return X Ltd. received ₹ 10 lakhs and ₹ 15 lakhs as interest and royalties respective from Y Ltd. during the year 20X1-X2. You are required to state whether and on what basis these revenues can be recognized by X Ltd.

Answer

As per **AS 9** on Revenue Recognition, revenue arising from the use by others of enterprise resources yielding interest and royalties should only be recognized when no significant uncertainty as to measurability or collectability exists. These revenues are recognized on the following bases:

(i) Interest: On **time proportion** basis taking into account the amount outstanding and the rate applicable. Therefore, X Ltd. should recognize interest revenue of ₹ 10 Lakhs.

(ii) Royalties: On an **accrual basis** in accordance with the terms of the relevant agreement. Therefore, X Ltd. should recognize royalty revenue of ₹ 15 Lakhs.

Question 16

An infrastructure company has constructed a mall and entered into agreement with tenants towards license fee (monthly rental) and variable license fee, a percentage on the turnover of the tenant (on an annual basis). Chief Financial Officer of the company wants to account/recognize license fee as income for 12 months during current year and variable license fee as income during next year, since invoice is raised in the subsequent year. Comment whether the treatment desired by the CFO is correct or not.

Answer

AS 9 on Revenue Recognition, is mainly concerned with the timing of recognition of revenue in the Statement of Profit and Loss of an enterprise. The amount of revenue arising on a transaction is usually determined by agreement between the parties involved in the transaction. However, when uncertainties exist regarding the determination of the amount, or its associated costs, these uncertainties may influence the timing of revenue recognition. Further, as per accrual concept, revenue should be recognized as and when it is accrued i.e. recorded in the financial statements of the periods to which they relate. In the present case, monthly rental towards license fee and variable license fee as a percentage on the turnover of the tenant (though on annual basis) is the income related to common financial year.

Therefore, recognizing the fee as revenue **cannot be deferred** simply because the invoice is raised in subsequent period. Hence **it should be recognized in the financial year of accrual**. Therefore, the contention of the Chief Financial Officer is **not in accordance with AS 9**.

Timing When Revenue to be Recognised [Increase in Sales Price Retrospectively]

Question 17

The Board of Directors decided on 31.3.20X2 to increase the sale price of certain items retrospectively from 1st January, 20X2. In view of this price revision with effect from 1st January 20X2, the company has to receive ₹ 15 lakhs from its customers in respect of sales made from 1st January, 20X2 to 31st March, 20X2.

Accountant cannot make up his mind whether to include ₹ 15 lakhs in the sales for 20X1-20X2. Advise.

Answer

Price revision was effected during the current accounting period 20X1-20X2. As a result, the company stands to receive ₹ 15 lakhs from its customers in respect of sales made from 1st January, 20X2 to 31st March, 20X2. If the company is able to assess the ultimate collection with reasonable certainty, only then additional revenue arising out of the said price revision may be recognized in 20X1-20X2.

If the company is **not reasonably certain** on ultimate collection ₹ 15 lakhs from its customers in respect of sales made from 1st January, 20X2 to 31st March, 20X2, it shall **postpone recognition** of revenue and disclose it in financial statements for year 20X1-20X2 as per AS 1.

Sale with Repurchase Agreement

Question 18

Mithya Ltd. entered into agreement with Satya Ltd. for sale of goods costing ₹ 8 lakh at a profit of 20% on cost. The sale transaction took place on 1st February, 20X2. On the same day, Satya Ltd. entered into another agreement with Mithya Ltd. to resell the same goods at ₹ 10.80 lakh on 1st August, 20X2. State the treatment of this transaction in the financial statements of Mithya Ltd. as on 31.03.20X2. The pre-determined re-selling price covers the holding cost of Satya Ltd. Give the Journal Entries as on 31.03.20X2 in the books of Mithya Ltd.

Answer

In the given case, Mithya Ltd. concurrently agreed to repurchase the same goods from Satya Ltd. on 1st February, 20X2. Also the re-selling price is pre-determined and covers purchasing and holding costs of Satya

Ltd. Hence, the transaction between Mithya Ltd. and Satya Ltd. on 1st February, 20X2 should be accounted for as financing rather than sale. The resulting cash flow of ₹ 9.60 lakh received by Mithya Ltd., **cannot be considered as revenue as per AS 9 "Revenue Recognition"**.

Journal Entries in the books of Mithya Ltd.

Date	Particulars		Debit (₹)	Credit (₹)
1.2.20X2	Bank Account A/c	Dr.	9.60	
	To Loan from Satya Ltd.			9.60
	((Being loan received from Satya Ltd. amounting [₹ 8 lakh + 20% of ₹ 8 lakh = 9.60 lakh] under sale and re-purchase agreement)			
31.3.20X2	Financing Charges A/c	Dr.	.40	
	To Loan from Satya Ltd.			.40
	(Financing charges for 2 months) [(10.80 – 9.60) x 2/6]			
31.3.20X2	Profit and Loss A/c	Dr.	.40	
	To Financing Charges A/c			.40
	(Being amount of finance charges transferred to P&L Account)			

Mixed Topics

Question 19

Indicate in each case whether revenue can be recognized and when it will be recognized as per AS-9.

(i) Delivery is delayed at buyer's request but buyer takes title and accepts billing.

(ii) Instalment Sales.

(iii) Trade discounts and volume rebates.

(iv) Insurance agency commission for rendering services.

(v) Advertising commission.

Answer

(i) **Delivery is delayed at buyer's request and buyer takes title and accepts billing:** Revenue should be **recognized notwithstanding that physical delivery has not been completed** so long as there is every expectation that delivery will be made. However, the item must be on hand, identified and ready for delivery to the buyer at the time the sale is recognized rather than there being simply an intention to acquire or manufacture the goods in time for delivery.

(ii) **Instalment sales:** When the consideration is receivable in instalments, **revenue** attributable to the **sales price exclusive of interest** should be recognized at the **date of sale**. The interest element should be recognized as revenue, proportionately to the unpaid balance due to the seller.

(iii) **Trade discounts and volume rebates:** Trade discounts and volume rebates received are not encompassed within the definition of revenue, since they represent a reduction of cost. Trade discounts and volume rebates given should be **deducted** in determining revenue.

(iv) **Insurance agency commissions for rendering services:** Insurance agency commissions should be recognized on the **effective commencement or renewal dates** of the related policies.

(v) **Advertising commission:** Revenue should be recognized when the service is completed. For advertising agencies, media commissions will normally be recognized when the related advertisement or

commercial **appears before the public** and the necessary intimation is received by the agency, as opposed to production commission, which will be recognized when the project is completed.

Question 20

For the year ended 31st March 20X1, KY Enterprises has entered into the following transactions.

On 31st March 20X1, KY supplied two machines to its customer ST. Both machines were accepted by ST on 31st March 20X1. Machine 1 was a machine that was routinely supplied by KY to many customers and the installation process was very simple.

Machine 1 was installed on 2nd April 20X1 by ST's employees.

Machine 2 being more specialised in nature requires an installation process which is more complicated, requiring significant assistance from KY. Machine 2 was installed between 2nd and 5th April 20X1.

Details of costs and sales prices are as follows:

	Machine 1	**Machine 2**
Sale Price	3,20,000	3,00,000
Cost of Production	1,60,000	1,50,000
Installation Fee	Nil	10,000

How should above transactions be recognized by KY Enterprises for the year ended 31st March 20X1?

Answer

Machine 1: As installation process is simple, **revenue** from Machine 1 will be recognized **on 31st March 20X1**.

	₹
Revenue (Machine 1)	3,20,000
Cost of Goods Sold	(1,60,000)
Profit during the period	**1,60,000**

Since the question specifies that the machine is already accepted by ST on 31st March 20X1, the revenue arising from sale of the machine needs to be recognized for the year ending 31st March 20X1. This is because acceptance of the machine indicates that risks and rewards pursuant to the ownership are transferred to ST.

Machine 2: Installation process for Machine 2 is more **complicated**, requiring significant assistance from KY Ltd. **However**, question specifies that the **machine is already accepted** by ST **on 31st March 20X1**. Assuming that there is no further approval/acceptance required from the buyer for the Machine sold, **revenue from sale of Machine 2 can be recognized for the year ending 31st March 20X1**.

	₹
Revenue (Machine 2)	3,00,000
Cost of Goods Sold	(1,50,000)
Profit during the period	**1,50,000**

However, installation fee which is for rendering installation services cannot be recognized until the installation is complete. Since the machine is pending installation, the revenue in respect of **installation charges ₹ 10,000 needs to be recognized on 5th April 20X1 once the installation process gets completed**.

Question 21

The following information of Meghna Ltd. is provided:

(i) Goods of ₹ 60,000 were sold on 20.3.20X2 but at the request of the buyer these were delivered on 10.4.20X2.

(ii) On 15.1.20X2 goods of ₹ 1,50,000 were sent on consignment basis of which 20% of the goods unsold are lying with the consignee as on 31.3.20X2.

(iii) ₹ 1,20,000 worth of goods were sold on approval basis on 1.12.20X1. The period of approval was 3 months after which they were considered sold. Buyer sent approval for 75% goods up to 31.1.20X2 and no approval or disapproval received for the remaining goods till 31.3.20X2.

(iv) Apart from the above, the company has made cash sales of ₹ 7,80,000 (gross). Trade discount of 5% was allowed on the cash sales.

You are required to advise the accountant of Meghna Ltd., with valid reasons, the amount to be recognized as revenue in above cases in the context of AS 9.

Answer

As per **AS 9** 'Revenue Recognition', in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions are fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

Case (i)	The sale is complete but delivery has been postponed at buyer's request. The entity should recognize the entire sale of **₹ 60,000** for the year ended 31st March, 20X2.
Case (ii)	20% goods lying unsold with consignee should be treated as closing inventory and sales should be recognized for **₹ 1,20,000** (80% of ₹ 1,50,000). In case of consignment sale revenue should not be recognized until the goods are sold to a third party.
Case (iii)	In case of goods sold on approval basis, revenue should not be recognized until the goods have been formally accepted by the buyer or the buyer has done an act adopting the transaction or the time period for rejection has elapsed or where no time has been fixed, a reasonable time has elapsed. Therefore, **revenue** should be recognized for the **₹ 90,000** upon receipt of approval **on 31.02.20X1 and** for the balance **₹ 30,000 on 01.03.20X1** as the time period for rejecting the goods had expired.
Case (iv)	Trade discounts given should be **deducted** in determining revenue. Thus, ₹ 39,000 should be deducted from the amount of turnover of ₹ 7,80,000 for the purpose of recognition of revenue. Thus, **revenue** should be **₹ 7,41,000.**

Question 22

Following information of BS Products Ltd. is given:

(i) Goods of ₹ 2,00,000 sold to Den Ltd. on 20.03.20X2 but at the request of the buyer these were delivered on 10.04.20X2.

(ii) On 15-01-20X2 goods of ₹ 3,00,000 were sent on consignment basis, of which 20% of the goods unsold are lying with the consignee as on 31.03.20X2.

(iii) ₹ 4,00,000 worth of goods were sold on approval basis on 01.12.20X1. The period of approval was 3 months after which they were considered as sold. Buyer sent approval for 75% goods upto 31.01.20X2 and no approval or disapproval received for the remaining goods till 31.03.20X2.

(iv) Apart from the above, BS Products Ltd. sells goods to dealers also. One of the conditions of sale is that interest is payable @ 2% p.m. for delayed payments by dealers. The percentage of interest recovery is only 10% i.e. ₹ 50,000 on such overdue outstanding due to various reasons. During the year 20X1-X2, the company wants to recognize the entire interest receivable of ₹ 60,000.

You are required to advise the accountant of BS Products Ltd., with valid reasons, the amount to be recognized as revenue in above cases in the context of AS 9 and also determine the total revenue to be recognized for the year ending 31.03.20X2.

Answer

As per **AS 9** 'Revenue Recognition', in a transaction involving the sale of goods, performance should be regarded as being achieved when the following conditions are fulfilled:

(i) the seller of goods has transferred to the buyer the property in the goods for a price or all significant risks and rewards of ownership have been transferred to the buyer and the seller retains no effective control of the goods transferred to a degree usually associated with ownership; and

(ii) no significant uncertainty exists regarding the amount of the consideration that will be derived from the sale of the goods.

Case (i)	The sale is complete, but delivery has been postponed at buyer's request. BS Products Ltd. should recognize the entire sale of **₹ 2,00,000** for the year ended 31st March, 20X1.
Case (ii)	20% goods lying unsold with consignee should be treated as closing inventory and sales should be recognized for **₹ 2,40,000** (80% of ₹ 3,00,000). In the case of consignment sale revenue should not be recognized until the goods are sold to a third party.
Case (iii)	In case of goods sold on approval basis, revenue should not be recognized until the goods have been formally accepted by the buyer or the buyer has done an act adopting the transaction or the time period for rejection has elapsed or where no time has been fixed, a reasonable time has elapsed. Therefore, revenue should be recognized for the total sales amounting to **₹ 4,00,000** as the time period for rejecting the goods had expired.
Case (iv)	As per the standard, "where the ability to assess the ultimate collection with reasonable certainty is lacking at the time of raising any claim, the revenue recognition is postponed to the extent of uncertainty involved. In such cases, the revenue is recognized only when it is reasonably certain that the ultimate collection will be made". In this case, interest should be recognized only if the ultimate collection is certain and the company expects to realize interest for the delayed payments for ₹ 50,000 only. Hence, based on the past experience, the realization of interest for the delayed payments by the agent is certain only to the extent of this amount and not ₹ 60,000. Therefore, the interest income of **₹ 50,000 should be recognized** in the books for the year ended 31st March, 20X1.

Thus, **total revenue amounting ₹ 8,90,000** (2,00,000 + 2,40,000 + 4,00,000+ 50,000) will be recognized for the year ended 31st March, 20X1 in the books of BS Products Ltd.

Question 23

Given the following information of Rainbow Ltd.

(i) On 15th November, goods worth ₹ 5,00,000 were sold on approval basis. The period of approval was 4 months after which they were considered sold. Buyer sent approval for 75% goods sold upto 31st January and no approval or disapproval received for the remaining goods till 31st March.

(ii) On 31st March, goods worth ₹ 2,40,000 were sold to Bright Ltd. but due to refurnishing of their show-room being underway, on their request, goods were delivered on 10th April.

(iii) Rainbow Ltd. supplied goods worth ₹ 6,00,000 to Shyam Ltd. and concurrently agrees to re-purchase the same goods on 14th April.

(iv) Dew Ltd, used certain assets of Rainbow Ltd. Rainbow Ltd. received ₹ 7.5 lakhs and ₹ 12 lakhs as interest and royalties respectively from Dew Ltd. during the year 20X1-X2.

(v) On 25th December, goods of ₹ 4,00,000 were sent on consignment basis of which 40% of the goods unsold are lying with the consignee at the year-end on 31st March.

In each of the above cases, you are required to advise, with valid reasons, the amount to be recognized as revenue under the provisions of AS-9.

Answer

(i) As per AS 9 "Revenue Recognition", in case of goods sold on approval basis, revenue should not be recognized until the goods have been formally accepted by the buyer or the buyer has done an act adopting the transaction or the time period for rejection has elapsed or where no time has been fixed, a reasonable time has elapsed. Therefore, revenue should be recognized for the total sales amounting **₹ 5,00,000** as the time period for rejecting the goods had expired.

(ii) The sale is complete but delivery has been postponed at buyer's request. The entity should recognize the entire sale of **₹ 2,40,000** for the year ended 31st March.

(iii) Sale/repurchase agreements i.e. where seller concurrently agrees to repurchase the same goods at a later date, such transactions that are in substance a financing agreement, the resulting cash inflow is not revenue as defined and should not be recognized as revenue. Hence **no revenue to be recognized** in the given case.

(iv) Revenue arising from the use by others of enterprise resources yielding interest and royalty should be recognized when no significant uncertainty as to measurability or collectability exists. The interest should be recognized on **time proportion** basis taking into account the amount outstanding and rate applicable. The royalty should be recognized on **accrual basis** in accordance with the terms of relevant agreement.

(v) 40% goods lying unsold with consignee should be treated as closing inventory and sales should be recognized for **₹ 2,40,000** (60% of ₹ 4,00,000). In case of consignment sale revenue should not be recognized until the goods are sold to a third party.

CHAPTER - 10
AS 10: Property, Plant and Equipment (PPE)

Cost of Purchased or Self Constructed PPE

Question 1

ABC Ltd. is installing a new plant at its production facility. It has incurred these costs:

1.	Cost of the plant (cost per supplier's invoice plus taxes)	₹ 25,00,000
2.	Initial delivery and handling costs	₹ 2,00,000
3.	Cost of site preparation	₹ 6,00,000
4.	Consultants used for advice on the acquisition of the plant	₹ 7,00,000
5.	Interest charges paid to supplier of plant for deferred credit	₹ 2,00,000
6.	Estimated dismantling costs to be incurred after 7 years	₹ 3,00,000
7.	Operating losses before commercial production	₹ 4,00,000

Please advise ABC Ltd. on the costs that can be capitalised in accordance with AS 10 (Revised).

Answer

According to AS 10 (Revised), these costs can be capitalised:

1.	Cost of the plant	₹ 25,00,000
2.	Initial delivery and handling costs	₹ 2,00,000
3.	Cost of site preparation	₹ 6,00,000
4.	Consultants' fees	₹ 7,00,000
5.	Estimated dismantling costs to be incurred after 7 years	₹ 3,00,000
	Total Cost	**₹ 43,00,000**

Note: Interest charges paid on "Deferred credit terms" to the supplier of the plant of ₹ 2,00,000 and operating losses before commercial production amounting to ₹ 4,00,000 are not regarded as directly attributable costs and thus cannot be capitalised. They should be written off to Statement of P&L in the period they are incurred.

Question 2

Star Limited purchased machinery for ₹ 6,80,000 (inclusive of GST of ₹ 40,000). Input credit is available for entire amount of GST paid. The company incurred the following other expense for installation.

Particulars	**₹**
Cost of preparation of site for installation	21,200
Total Labour charges (200 out of 500 men hours, were spent on installation of the machinery)	56,000
Spare parts and tools consumed in installation	5,000
Total salary of supervisor (Time spent for installation was 25% of the total time worked)	26,000
Total technical expense (1/10 relates to the plant installation)	34,000
Test run and experimental production expenses	18,000
Consultancy charges to architect for plant set up	11,000
Depreciation on assets used for installation	12,000

The machine was ready for use on 15.01.20X1 but was used from 01.02.20X1. Due to this delay further expenses of ₹ 8,900 were incurred. Calculate the value at which the plant should be capitalized in the books of Star Limited.

Answer

Calculation of Cost of Plant

Particulars		**₹**
Purchase Price	Given	6,80,000
Add: Site Preparation Cost	Given	21,200
Labour charges	(56,000 x 200/500)	22,400
Spare parts	Given	5,000
Supervisor's Salary	25% of ₹ 26,000	6,500
Technical costs	1/10 of ₹ 34,000	3,400
Test run and experimental production charges	Given	18,000
Architect Fees for set up	Given	11,000
Depreciation on assets used for installation	Given	12,000
Total Cost of Asset		7,79,500
Less: GST credit receivable		(40,000)
Value to be capitalized		**7,39,500**

Note: Further Expenses of ₹ 8,900 from 15.1.20X1 to 1.2.20X1 to be charged to profit and loss A/c as plant was ready for production on 15.1.20X1.

Question 3

Omega Ltd. contracted with a supplier to purchase machinery which is to be installed in its one department in three months' time. Special foundations were required for the machinery which were to be prepared within this supply lead time. The cost of the site preparation and laying foundations were ₹ 1,40,000. These activities were supervised by a technician during the entire period, who is employed for this purpose of ₹ 45,000 per month. The machine was purchased at ₹ 1,58,00,000 and ₹ 50,000 transportation charges were incurred to bring the machine to the factory site. An Architect was appointed at a fee of ₹ 30,000 to supervise machinery installation at the factory site. You are required to ascertain the amount at which the Machinery should be capitalized.

Answer

Particulars		**₹**
Purchase Price	Given	1,58,00,000
Add: Site Preparation Cost	Given	1,40,000
Technician's Salary	Attributable o/h for 3 months (45,000 x 3)	1,35,000
Initial Delivery Cost	Transportation	50,000
Professional Fees for Installation	Architect's Fees	30,000
Total Cost of Machinery		**1,61,55,000**

Question 4

Shrishti Ltd. contracted with a supplier to purchase machinery which is to be installed in its Department A in three months' time. Special foundations were required for the machinery which were to be prepared within this supply lead time. The cost of the site preparation and laying foundations were ₹ 1,41,870. These activities were supervised by a technician during the entire period, who is employed for this purpose of ₹ 45,000 per month. The technician's services were given by Department B to Department A, which billed the services at ₹ 49,500 per month after adding 10% profit margin.

The machine was purchased at ₹ 1,58,34,000 inclusive of IGST @ 12% for which input credit is available to Shrishti Ltd. ₹ 55,770 transportation charges were incurred to bring the machine to the factory site. An Architect was appointed at a fee of ₹ 30,000 to supervise machinery installation at the factory site.

Ascertain the amount at which the Machinery should be capitalized under AS 10 considering that IGST credit is availed by the Shristhi Limited. Internally booked profits should be eliminated in arriving at the cost of machine.

Answer

Calculation of Cost of Fixed Asset (i.e. Machinery)

Particulars		**₹**
Purchase Price	Given (₹ 1,58,34,000 x 100/112)	1,41,37,500
Add: Site Preparation Cost	Given	1,41,870
Technician's Salary	Attributable o/h for 3 months (45,000 x 3)	1,35,000
Initial Delivery Cost	Transportation	55,770
Professional Fees for Installation	Architect's Fees	30,000
Total Cost of Asset		**1,45,00,140**

Question 5

Preet Ltd. intends to set up a steel plant, for which it has acquired a dilapidated factor having an area of 5,000 acres at a cost of ₹ 60,000 per acre. Preet Ltd. has incurred ₹ 1.10 crores on demolishing the old Factory Building thereon. A sum of ₹ 63,00,000 (including 5% GST thereon) was realized from the sale of material salvaged from the site. Preet Ltd. incurred Stamp Duty and Registration Charges of 7% of land value, paid legal and consultancy charges ₹ 8,00,000 for land acquisition and incurred ₹ 1,25,000 on title guarantee insurance. Compute the value of the land acquired.

Answer

Particulars	**₹ in lakhs**
Purchase Price: 5,000 acres x ₹ 60,000 per acre	3,000.00
Stamp Duty and Registration Charges at 7%	210.00
Legal and Consultancy Fees	8.00
Title Guarantee Insurance	1.25
Demolition Expenses (Net of Salvage Income)	50.00
[₹ 110 lakhs (–) ₹ 60 lakhs (₹ 63 lakhs x 100/105)]	
Cost of Land	**3,269.25**

Question 6

Entity A has an existing freehold factory property, which it intends to knock down and redevelop. During the redevelopment period the company will move its production facilities to another (temporary) site. The following incremental costs will be incurred:

1. Setup costs of ₹ 5,00,000 to install machinery in the new location.
2. Rent of ₹ 15,00,000
3. Removal costs of ₹ 3,00,000 to transport the machinery from the old location to the temporary location.

Can these costs be capitalised into the cost of the new building?

Answer

Constructing or acquiring a new asset may result in incremental costs that would have been avoided if the asset had not been constructed or acquired. These costs are **not to be included in the cost** of the asset if they are not directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. The costs to be incurred by the company are in the nature of costs of **relocating or reorganising** operations of the company and do not meet the requirement of **AS 10** (Revised) and therefore, **cannot be capitalised**.

Question 7

Hardy Ltd. intends to extend the factory set up on the adjacent plot with disintegrated old premises. It acquired the land having an area of 250 hectares at a cost of ₹ 25,000 per hectare.

Hardy Ltd. incurred Stamp duty and registration charges of 5% of land value. Legal fees were paid ₹ 4,75,000 for land acquisition.

Hardy Ltd. incurred ₹ 37,85,000 for demolishing old premises thereon. A sum of ₹ 12,60,000 (including 5% GST thereon) was realized from the sale of material salvaged from the site.

Till the new site with extended factory premises is ready, the company needs to move the present production facilities to another (temporary) site. The following incremental costs will be incurred:

(1) Set up costs of ₹ 7,50,000 to install machinery in the new location.

(2) Rent of ₹ 12,00,000.

(3) Removal costs of ₹ 2,50,000 to transport the machinery from the old location to the temporary location.

(i) Management is of the opinion that the cost of moving the production facilities to another temporary location can be capitalised. You are required to advise.

(ii) You are also required to compute the cost of land acquired.

Answer

(i) Constructing or acquiring a new asset may result in incremental costs that would have been avoided if the asset had not been constructed or acquired.

These costs are not to be included in the cost of the asset if they are not directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The costs to be incurred by the company are in the nature of **costs of relocating or reorganizing operations** of the company and do not meet the requirement of AS 10 (Revised).

Therefore, these costs **cannot be capitalized**.

(ii) Computation of cost of land

Particulars	₹	₹
Purchase Price [250 hectares x ₹ 25,000 per hectares]		62,50,000
Stamp Duty and Registration Charges [5% of ₹ 62,50,000]		3,12,500
Legal and Consultancy Fees		4,75,000
Demolition Expenses	37,85,000	
Less: Salvage Income net of tax [₹ 12,60,000 x (100/105)]	(12,00,000)	25,85,000
Cost of Land		96,22,500

Question 8

Entity A, which operates a major chain of supermarkets, has acquired a new store location. The new location requires significant renovation expenditure. Management expects that the renovations will last for 3 months during which the supermarket will be closed.

Management has prepared the budget for this period including expenditure related to construction and remodelling costs, salaries of staff who will be preparing the store before its opening and related utilities costs. What will be the treatment of such expenditures?

Answer

Management **should capitalise the costs of construction and remodelling** the supermarket, because they are necessary to bring the store to the condition necessary for it to be capable of operating in the manner intended by management. The supermarket cannot be opened without incurring the remodelling expenditure, and thus the expenditure should be considered part of the asset.

However, if the **cost of salaries**, utilities and storage of goods are in the **nature of operating expenditure** that would be incurred if the supermarket was open, then these costs are not necessary to bring the store to the condition necessary for it to be capable of operating in the manner intended by management and **should be expensed.**

Recognition of PPE Acquired in Exchange of Asset

Question 9

Entity A exchanges land with a book value of ₹ 10,00,000 for cash of ₹ 20,00,000 and plant and machinery valued at ₹ 25,00,000. What will be the measurement cost of the assets received? (Consider that the transaction has commercial substance)

Answer

In the given case, **Plant & Machinery is valued at ₹ 25,00,000**, which is assumed to be fair value in absence of information. Further, since fair value of land (asset given up) is not given, the transaction will be recorded at fair value of assets acquired of ₹ 45,00,000 (Cash ₹ 20,00,000 + Plant & Machinery ₹ 25,00,000). Since land of book value ₹ 10,00,000 is transferred in exchange of assets worth ₹ 45,00,000, a gain of ₹ 35,00,000 will be recognised in the books of Entity A.

Journal entries in the books of Entity A

Particulars		Debit (₹)	Credit (₹)
Cash/Bank A/c	Dr.	20,00,000	
Plant & Machinery A/c	Dr.	25,00,000	
To Land			10,00,000
To Profit on Sale of Land (balancing figure)			35,00,000
(Being transaction of exchange of PPE recorded)			

Question 10

Entity A exchanges car X with a book value of ₹ 13,00,000 and a fair value of ₹ 13,25,000 for cash of ₹ 15,000 and car Y which has a fair value of ₹ 13,10,000. The transaction lacks commercial substance as the company's cash flows are not expected to change as a result of the exchange. It is in the same position as it was before the transaction. What will be the measurement cost of the assets received?

Answer

Since the transaction lacks commercial substance, the entity recognises the assets received at the book value of car X. Therefore, it recognises cash of ₹ 15,000 and car Y as PPE with a **carrying value of ₹ 12,85,000**.

Journal entries in the books of Entity A

Particulars		Debit (₹)	Credit (₹)
Cash/Bank A/c	Dr.	15,000	
Car Y A/c (balancing figure)	Dr.	12,85,000	
To Car X A/c			13,00,000
(Being transaction of exchange of PPE recorded)			

Depreciation of PPE

Question 11

A property costing ₹ 10,00,000 is bought in 20X1. Its estimated total physical life is 50 years. However, the company considers it likely that it will sell the property after 20 years.

The estimated residual value in 20 years' time, based on 20X1 prices, is

Case (a): ₹ 10,00,000

Case (b): ₹ 9,00,000

Calculate the amount of depreciation.

Answer

Case (a)	The company considers that the residual value, based on prices prevailing at the balance sheet date, will equal the cost. There is, therefore, no **depreciable amount** and **depreciation is correctly zero.**
Case (b)	The company considers that the residual value, based on prices prevailing at the balance sheet

	date, will be ₹ 9,00,000 and the depreciable amount is, therefore, ₹ 1,00,000. Annual depreciation (on a straight-line basis) **will be ₹ 5,000** [(10,00,000 – 9,00,000) ÷ 20].

Question 12

Entity A purchased an asset on 1st January 20X1 for ₹ 1,00,000 and the asset had an estimated useful life of 10 years and a residual value of nil.

On 1st January 20X5, the directors review the estimated life and decide that the asset will probably be useful for a further 4 years.

Calculate the amount of depreciation for each year, if company charges depreciation on Straight Line basis.

Answer

The entity has charged depreciation using straight-line method at ₹ 10,000 per annum i.e. (1,00,000/10 years).

On 1st January 20X5, the asset's net book value is [1,00,000 – (10,000 x 4)] = ₹ 60,000.

The remaining useful life is 4 years.

The company should amend the annual provision for depreciation to charge the unamortised cost over the revised remaining life of four years.

Consequently, it should charge depreciation for the next 4 years at **₹ 15,000 per annum** i.e. (60,000/4 years).

Question 13

A Ltd. had following assets. Calculate depreciation for the year ended 31st March, 20X6 for each asset as per AS 10 (Revised):

(i) Machinery purchased for ₹ 10 lakhs on 1st April, 20X1 and residual value after useful life of 5 years, based on 20X1 prices is ₹ 10 lakhs.

(ii) Land for ₹ 50 lakhs.

(iii) A Machinery is constructed for ₹ 5,00,000 for its own use (useful life is 10 years). Construction is completed on 1st April, 20X5, but the company does not begin using the machine until 31st March, 20X6.

(iv) Machinery purchased on 1st April, 20X3 for ₹ 50,000 with useful life of 5 years and residual value is NIL. On 1st April, 20X5, management decided to use this asset for further 2 years only.

Answer

Computation of amount of depreciation as per AS 10

		₹
(i)	**Machinery purchased on 1.04.X1 for ₹ 10 lakhs (having residual value of ₹ 10 lakhs)** Reason: The company considers that the residual value, based on prices prevailing at the balance sheet date, will equal the cost. Therefore, there is no depreciable amount and depreciation is correctly zero.	**Nil**
(ii)	**Land (50 lakhs) (considered freehold)** Reason: Land has an unlimited useful life and therefore, it is not depreciated.	**Nil**
(iii)	**Machinery constructed for own use (₹ 5,00,000/10)**	**50,000**

	Reason: The entity should begin charging depreciation from the date the machine is ready for use i.e. 1st April,20X5. The fact that the machine was not used for a period after it was ready to be used is not relevant in considering when to begin charging depreciation.	
(iv)	**Machinery having revised useful life** Reason: The entity has charged depreciation using the straight-line method at ₹ 10,000 per annum i.e. (50,000/5 years). On 1st April, 20X5 the asset's net book value is [50,000 – (10,000 x 2)] i.e. ₹ 30,000. The remaining useful life is 2 years as per revised estimate. The company should amend the annual provision for depreciation to charge the unamortized cost over the revised remaining life of 2 years. Consequently, it should charge depreciation for the next 2 years at ₹ 15,000 per annum i.e. (30,000/2 years).	**15,000**

Question 14

In the year 20X1-X2, an entity has acquired a new freehold building with a useful life of 50 years for ₹ 90,00,000. The entity desires to calculate the depreciation charge per annum using a straight-line method. It has identified the following components (with no residual value of lifts & fixtures at the end of their useful life) as follows:

Component	Useful life (Years)	Cost
Land	Infinite	₹ 20,00,000
Roof	25	₹ 10,00,000
Lifts	20	₹ 5,00,000
Fixtures	10	₹ 5,00,000
Remainder of building	50	₹ 50,00,000
		₹ 90,00,000

You are required to calculate depreciation for the year 20X1-X2 as per componentization method.

Answer

Statement showing amount of depreciation as per Componentization Method

Component	Depreciation (Per annum) (₹)
Land	Nil
Roof	40,000
Lifts	25,000
Fixtures	50,000
Remainder of Building	1,00,000
	2,15,000

Note: When the roof requires replacement at the end of its useful life the carrying amount will be nil. The cost of replacing the roof should be recognized as a new component.

Recognition of PPE At Each Balance Sheet Date [Revaluation Model]

Question 15

Arka Ltd. purchased machinery for ₹ 3,000 lakhs. Depreciation was charged at 10% on SLM basis for a useful

life of 10 years. At the end of Year 4, the machinery was revalued to ₹ 2,700 lakhs and the same was adopted. What will be the carrying amount of the asset at the end of Year 5 and Year 6? Assume no change in the useful life.

Answer

Particulars	**₹ in lakhs**
Original Cost of the Asset	3,000.00
Less: Depreciation for 4 years (₹ 3,000 lakhs x 10% x 4 years)	(1,200.00)
Book Value at the end of Year 4	1,800.00
Add: Revaluation Surplus (balancing figure)	900.00
Revalued Amount as given = revised depreciable value	2,700.00
Less: Depreciation for Year 5 (₹ 2,700 lakhs ÷ 6 years)	450.00
Carrying Amount at the end of Year 5	2,250.00
Less: Depreciation for Year 6 (₹ 2,700 lakhs ÷ 6 years)	450.00
Carrying Amount at the end of Year 6	**1,800.00**

Question 16

XYZ Limited provided you the following information for the year ended 31st March, 20X1.

(i) The carrying amount of a property at the end of the year amounted to ₹ 2,16,000 (cost/value ₹ 2,50,000 and accumulated depreciation ₹ 34,000). On this date the property was revalued and was deemed to have a fair value of ₹ 1,90,000. The balance in the revaluation surplus relating to a previous revaluation gain for this property was ₹ 20,000.

You are required to calculate the revaluation loss as per AS 10 (Revised) and give its treatment in the books of accounts.

(ii) An asset that originally cost ₹ 76,000 and had accumulated depreciation of ₹ 62,000 was disposed of during the year for ₹ 4,000 cash.

You are required to explain how the disposal should be accounted for in the financial statements as per AS 10 (Revised).

Answer

(i) As per AS 10, a decrease in the carrying amount of an asset arising on revaluation should be charged to the statement of profit and loss. However, the decrease should be debited directly to owners' interests under the heading of revaluation surplus to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

Calculation of revaluation loss and its accounting treatment

		₹
Carrying value of the asset as on 31st March, 20X1	A	2,16,000
Revalued amount of the asset	B	(1,90,000)
Total revaluation loss on asset	C = A – B	26,000
Adjustment of previous revaluation reserve	D	(20,000)
Net revaluation loss to be charged to the Profit and loss account	**E = C – D**	**6,000**